

Bluestone Jewellery (BLUESTONE)

Conference call transcripts, oldest-first. 5 call(s). Generated 2026-06-08.

Call: Sep 2025

BlueStone Jewellery and Lifestyle Limited

[Formerly Known as BlueStone Jewellery and Lifestyle Private Limited]

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September 11, 2025

To,

BSE Ltd.

Listing Department,

P. J. Towers, Dalal Street,

Mumbai – 400 001.

(Scrip Code: Equity - 544484), National Stock Exchange of India Ltd.

Exchange Plaza,

Bandra-Kurla Complex,

Bandra (E), Mumbai – 400 051.

(Symbol: BLUESTONE, Series EQ)

Dear Sirs/ Madam,

Sub.: – Q1 FY26 Earnings Call Transcript.

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call held on September 05, 2025 for Q1 FY 2025-26 has been available on the website of the Company's website at www.bluestone.com under Investors Relations-> Investor updates -> 2025-2026-> Q1.

Link : <https://kincling1.bluestone.com/static/ir/lu/EarningsCallTranscriptJune2025.pdf>

Kindly take the above on your record.

Thanking you,

Your Sincerely,

For Bluestone Jewellery and Lifestyle Limited

(Formerly known as Bluestone Jewellery and Lifestyle Private Limited)

Gaurav Singh Kushwaha

Managing Director

DIN: 01674879

1BlueStone Jewellery and Lifestyle Limited

Q1 FY26 Earnings Conference Call

September 5, 2025

MANAGEMENT : M R.GAURAV SINGH KUSHWAHA –FOUNDER ,MANAGING

DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR.RUMIT DUGAR –CHIEF FINANCIAL OFFICER

2Q1FY26 |Earnings Call Transcript

Moderator: Ladies and gentlemen, good day, and welcome to BlueStone Jewellery and Lifestyle Limited Q1 FY26 Earnings Conference Call hosted by Ernst & Young.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Rhea Dharia, EY Investor Relations. Thank you.

And over to you, ma'am.

Rhea Dharia: Thank you, Steve. Good evening to all the participants on this call.

Before we proceed with the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievement to differ significantly from what is expressed or implied in such forward-looking statements.

Please note that we have mailed the results and the same is available on the exchange. In case you have not received the same, you can write to us, and we will be happy to send the same over to you.

To take us through the results and answer your questions today, we have the top management of BlueStone Jewellery and Lifestyle Limited represented by Mr. Gaurav Singh Kushwaha, Founder, Managing Director and Chief Executive Officer; and Mr. Rumi Dugar, Chief Financial Officer. We will start the call with a brief overview of the quarter gone past and then conduct the Q&A session.

With that said, I will now hand over the call to Mr. Gaurav. Over to you.

Gaurav Singh Kushwaha: Thank you, Rhea. Good evening everyone. Thank you for joining us today. It is my pleasure to welcome you to BlueStone's first earnings conference call, as a publicly listed company. This marks a significant milestone for us as we are truly excited about the progress we have achieved so far.

Before we begin, I would like to sincerely thank all our investors and shareholders who participated in our IPO and placed their trust in us. We deeply value this trust and are fully committed to creating long-term value for all the stakeholders. I would like to extend special thanks to our banking partners, legal advisors, and all stakeholders who played a pivotal role in guiding us through this important journey.

3Q1FY26 | Earnings Call Transcript

Last but not the least, I want to express my sincere gratitude to the entire team at BlueStone. Their unwavering commitment and hard work have been fundamental in shaping the company to what it is today.

Now, before we discuss the quarterly results, etc., this is our first earnings call after going public and this is the first time I am speaking to a lot of you. So, I would like to also take this opportunity to quickly walk you through our journey over the last 13 to 14 years and tell you a bit more about myself personally.

I started BlueStone in 2011 with the seed round, our initial funding from Accel Partners and Accel Partners has been one of the strongest supporters throughout. Even before starting BlueStone, I had another company, I started my first company in 2007 which was a social network and that was also funded by Accel Partners.

Prior to that, I studied in IIT Delhi, and I did Computer Science from there. I graduated in 2001 and worked programming jobs. Amazon was the last company I worked in and from there I got interested in consumer internet space and started two companies.

One was a social network which I sold to Flipkart in 2010 and then moved out of it and then I was in process of figuring out what to do next. And having seen how Flipkart, Myntra and some of the early e-commerce companies in other categories were progressing, I decided to do something in e-commerce. I could clearly see the opportunity there

e. And hence, I started evaluating a lot of categories and while doing that evaluation, I realized that jewellery is an amazingly beautiful category. It is a category built for the country.

Every other category that I was looking at, at that time, Indian market was not that big. In fact, any category if you look at and if you compare the size of Indian market with US market, that category in India would be one-tenth or one-fifteenth the size of US market. When I looked at jewellery, I realized this category is almost as big as its US counterpart.

And more importantly, it is very ingrained in our society, so it is very cultural to us. It is very fundamental to us which was some of the beautiful things about the category. I had no prior experience in the category. I had never entered a jewellery store before starting it. But everything that I looked at, everything that I saw in the category, I found very beautiful and decided to start in it.

At that time, Accel, who had worked with me in my previous company also, they also decided to jump in and they wrote me a seed cheque of \$4 million with which we started. I built an initial team through mostly my juniors from IIT and their juniors, through their network, through my network and so on. And we started with the belief and with the idea of building an online-only jewellery brand.

4Q1FY26 | Earnings Call Transcript

We were very clear that it is not going to be a marketplace model. It is going to be a direct-to-consumer model. In fact, the term D2C was not coined at that time, but the conclusion that we came to make the fundamental tenets of D2C now. So we realized that what we were going to sell on our website, on bluestone.com, were going to be our

own products, our own designs. And it was not going to be someone else's designs. In the beginning, we created a set of 300 - 400 designs, primarily rings, earrings, pendants and decided to sell them. The first step was obviously to catalog them. And I think that was when we met our first big challenge. When we tried to photograph jewellery pieces, we realized that this category, the kind of products and the kind of nature of the products make them very difficult for camera. It makes it impossible for camera to take beautiful photographs of jewellery pieces, mainly because they are reflecting surfaces, refracting surfaces, gold reflects the light, and diamond lets the light pass through and so on. We looked around to see how others are handling it, and we realized that no one was either serious about it or was capable of solving it. So we were the first ones in the world to then use 3D rendering, 3D modeling to then depict jewellery beautifully. And that quite honestly changed the game for us. And when we transformed our entire catalog from photographs to 3D renders, the quality of the products, etc., was very, very high. And coming to think of it, when we were an online-only avatar, we were in a way in the business of selling a photo. What people were getting in the end, delivered, was a physical product. But all the selling, all the decision-making was happening on those photos. So, it was very important for those photographs to be extremely beautiful. And that we were able to achieve back in 2012. Our next big observation was that as we were expanding our catalog, we could not inventorise everything. We had limited capital available to us. So the only way we could offer a lot of choices – and choices is one of the beauties of the internet, so the only way we could offer lots of choices was if we moved to just-in-time manufacturing model. Now we tried that with the existing supply chain, with the existing manufacturers of jewellery, but realized that that supply chain was not geared for it. The manufacturing timelines were three to four weeks. The reliability of the end product was also not that high. There were lots of discrepancies between what was promised and what was manufactured. So we decided to bring manufacturing in-house. A

nd in the next one year or so, by the end of 2013, early 2014, almost entire manufacturing was in-house.

And right after that, we were able to bring down manufacturing timelines to three to five days. And the whole e-commerce engine kind of started working. And with that, by around 2016, we reached close to Rs. 50 – 55 crores in pure online D2C revenues. 5Q1FY26 | Earnings Call Transcript

And that was also the time when we were talking to a lot of our customers. And we spoke to a lot of our buyers. Asked them, what is it? Why did you buy it from BlueStone? And the number one reason was always design. Almost 86% people said they bought because they loved the design so much. Number two was choices. 9% people said choices. 3% said price. 1% said convenience. Those also pointed us in the direction that this is truly a brand category. It is not a services game like Flipkart or Amazon, where if you ask the same question, price and convenience would be the number one, number two reasons. That was not the case with us.

And more importantly, what we are also seeing was for every one person buying, there were 30 to 40 people who were just browsing the website, who were spending, who were exhibiting exactly the same behavior as buyers. Spending as many weeks on the website, looking at as many products, adding as many products to their wishlist in cart, but not buying.

And we spoke to them, the non-buyers. And almost all the non-buyers told us that we loved the design. We loved the fact that sitting at home, we can browse, we can look at so many beautiful jewellery designs, which is just not possible in the offline setup.

In offline setup, once you enter into a jewellery store, you are generally under pressure because it is a counter-driven experience. You are generally asked if you like this particular piece, do not like this piece, shall I shortlist, and so on. So free browsing, which is the case in a lot of categories offline also, like apparel, shoes, you can just go to malls and browse for as many days, as many weeks as you want without anyone asking you any questions. That free browsing is not present in case of jewellery in the offline setup. And that is where online was extremely powerful. Online was turning out to be extremely powerful. So almost all those non-buyers said that we love the fact that we can actually look at 1,000 designs of things which you cannot do offline. But then they said, how can we buy something so expensive without touching and feeling it?

Number two reason was that, let us say if a few years down the line, there is some repair needed in that, if a ring size needs to be changed, if a diamond chips off, where would I go for the repair? In jewellery, typically the jeweler is also your service provider or repair provider.

And number three or the third biggest reason was that if a few years down the line I

want to change this design for a newer design, how do I do that? And that is a behavior which is very common in our country and generally non-existent in any other country. So I think that was our big realization that for all the efforts, for all the demand and all the pull that we are generating online, maybe because we are not able to solve these 6Q1FY26 |Earnings Call Transcript

three problems, maybe we are not converting that into the real business, or we are not kind of efficiently converting that into the real business.

And maybe if we could solve for these three problems, the business size is not whatever it was. Maybe the true business size is 30 times to 40 times of whatever that was. And with that learning, with that hypothesis, we went out to open stores. And the idea was clear that these three problems cannot be solved online. The natural solve for these is a store.

A store very naturally solves for it. No amount of web pages, no amount of promises that you put on your web page were going to solve it. So we opened our first store in FY19 in Pacific Mall, Rajouri Garden, and in that year, we opened

five stores in total. And

we saw the hypothesis playing out.

We saw that in those catchments where we opened the store, we were able to convert that online demand into overall business for the company much more efficiently. And I think our history also, and investor presentation also, we have depicted one such scenario in the city of Ranchi, when the online-only avatar, we were doing close to Rs. 70 lakh in revenues, annual revenues, which have now gone up to approximately Rs. 18 crores or so with the support of two stores.

So that is the kind of multiplier that omni-channel presence has built on top of this existing strong online presence that we already had. And I think since then the journey has been of how fast can we layer these omni-channel stores. Our online presence was always very strong pan-India. And in the last four to five years or five years to six years or five years to six years, our endeavor has been to layer more and more of this online presence with a strong omni-channel presence.

And it is working out in every catchment, in every zone, in every region of the country. And that is why we have very high confidence, very high conviction. And that is a fundamental reason of very, very rapid rollout. All the efforts have already been there in getting people on the website, getting people to engage, getting people to love our designs. All that has been going on for almost 14 years now. The more we layer it with omni-channel, the stronger we keep on becoming and the stronger leverage we keep on getting on each of those efforts that we have been putting over the last 14 years. So we ended FY25 with 275 stores. This quarter we opened a few more, ending the quarter with 292 stores. And coming to our performance during the quarter overall, we saw a healthy revenue growth of around 41% Y-o-Y. And that is driven by very healthy sales growth and the continued expansion of our omni-channel footprint.

Alongside this growth, we delivered meaningful profitability improvements also with standalone adjusted EBITDA of 630% and margin expanding by 1,358 basis points, 7Q1FY26 |Earnings Call Transcript

reflecting operating leverage across marketing, corporate costs, and manufacturing efficiencies.

I am also pleased to report that through our consistent efforts and focus on profitability; we turned cash back positive at Rs. 17.5 crores versus a cash loss on a standalone basis of Rs. 36 crores in the same quarter last year. These results underscore the profitability scalability of our business model and this balance of growth with improving profitability gives us confidence in delivering sustainable long-term outcomes for our stakeholders.

Now our Chief Financial Officer, Mr. Rumit Dugar, will take you through the financials in detail. Rumit, can you please?

Rumit Dugar: Thanks, Gaurav. Thank you all for joining us today. Good evening. I am pleased to share our Q1 FY26 financial performance. I will keep my remarks brief. We hope that all of you had the chance to go through our detailed financials and commentary. As you can see from a disclosure perspective, we are putting in our best efforts to make sure that there is as much transparency as we can bring in in terms of our disclosures and that is the detailed management commentary that you would have seen in our results pack.

Overall, our standalone revenue from operations for the quarter stood at Rs. 4,926 million, up 41% year-on-year, versus Rs. 3,482 million during the same quarter last year. Standalone adjusted EBITDA was at Rs. 830 million, up 630%. More importantly, standalone adjusted EBITDA margins came in at 16.8%, up 1,358 basis points year-on-year. This was 3.3% in Q1 FY25.

Also, I would like to highlight as a best practice from a transparency perspective, we

would be calling out inventory gain or loss. This quarter, we had an inventory gain of Rs. 228 million during Q1 FY26. Excluding these inventory gains, our adjusted EBITDA was still pretty strong at Rs. 602 million with

adjusted EBITDA margins of 12.2%, up more than 400% year-on-year with nearly 895 basis point margin improvement.

On contribution margins, again, excluding inventory gains, then contribution margin is our key operating margin metric, which is the source of driving operating leverage in the business because below contribution margin, we have a lot of fixed cost structure which is sitting there related to stores.

So contribution margin, excluding inventory gains stood at 31.8%, an improvement of, again, more than 130 basis points Y-o-Y. This expansion was primarily driven by scaling of our new manufacturing facilities that opened in FY25, which are improving manned capacity utilization as well as stabilizing and delivering process efficiencies.

8Q1FY26 | Earnings Call Transcript

Our expense for rent was Rs. 368 million during the quarter. We have seen significant reduction in our advertising and marketing cost from 12.2% as a percentage of revenue in Q1 FY25 to 6.9% of revenue. This is driven by operating leverage that we are coming from scale benefits, rising repeat customer revenue ratio, as well as there was a step-down in terms of the promotion scheme that we had on the Old Gold Exchange.

As Gaurav mentioned, more importantly, we turned cash PAT positive for the quarter.

Our same-store sales growth was strong at 18.4% Y-o-Y for the quarter, and we reported a healthy repeat revenue ratio of 50.7%, demonstrating the strength of our product portfolio, the stickiness of our customers, and the scalability of our omnichannel model.

Our performance during the quarter reinstates our faith in the business model. Our digital-first approach continues to serve a strong demand funnel for our stores, while our expanding retail footprint is deepening customer access. This also allowed us to grow our customer base to more than 800,000. 816,000 to be precise.

Importantly, we have also maintained strong unit economics and disciplined cost management, which has, as demonstrated in this quarter, ensured that the top-line growth translates effectively into operating profitability.

With that, Steve, we can open the floor for questions, if any.

Moderator: Thank you, sir. We will now begin the question-and-answer session. The first question comes from the line of Aravind Kodipaka with IME Portfolio Managers. Please go ahead.

Aravind Kodipaka: Hi. Thank you for the opportunity and congratulations on good set of numbers. I have a couple of questions on the model itself. While I understand the omni-channel model and the argument very well. Is it possible for you to distinguish between a customer who walks in directly into offline and someone who is influenced online and then goes to a store?

Gaurav Singh Kushwaha: So, there are two major ways of doing it. One of the obvious ones is a lot of people, when they are browsing on the website, they also tend to register, especially repeat users.

So, when someone has registered, we already have the email and phone numbers, okay? And when they make a purchase in any of our stores, that phone number, email is mandatory. It is the same system, essentially. So, the point of sale that we have in stores is nothing but the website, okay?

9Q1FY26 | Earnings Call Transcript

But the moment someone does that, we match that person to their browsing history, let us say, a few weeks prior to making that purchase, right? So, for every person who registered, we have tracking. There is something called cookie-based tracking. So, we have that in detail on every person, whether the person is registered or not registered. Cookie-based tracking goes all the way for 6 months or 12 months.

Secondly, what happens is, a lot of these users that we get, we get from Google, Facebook, etc. So, what they also provide is, there is something called hashing. So, once you anonymize your buyers' phone numbers and email addresses and supply it to them, they also tell us that how many of those people have actually come to my website from these plat-

forms.

So, these are two ways with which you can actually match this. And when we do this matching, that match is very, very high.

Aravind Kodipaka: So, then what percentage of your sales can you actually attribute to someone who has browsed beforehand, before getting into the store? And someone who has directly walked in without having a, say, a one-week or two-week history of browsing in that particular category? And can you get to that?

Gaurav Singh Kushwaha: Sure. Our ballpark says that 70% to 90% comes from online browsing.

Aravind Kodipaka: Okay. So, 70% to 90% of the people who browse eventually come to the store, right?

Gaurav Singh Kushwaha: No, 70% to 90% of people who end up buying, they had browsed the website prior to buying from the store.

Aravind Kodipaka: Okay. And the browsing window is, what, like one week, one month, three months?

Gaurav Singh Kushwaha: One month. 28 days.

Aravind Kodipaka: One month, okay.

Gaurav Singh Kushwaha: In general, Aravind, the number of people who are browsing is in millions, right, every day. Obviously, it cannot be 70% to 90% of that. There is a number of people who are buying, 70% to 90% of buyers were browsers on the website.

Aravind Kodipaka: Understood. Yes, I understood. I should have asked this way. Sure. Is it possible for the company to disclose this metric on a constant quarterly basis, just so I understand how much of a dependence there is on the digital channel?

Gaurav Singh Kushwaha: There is no plan to do that right now.

10Q1FY26 | Earnings Call Transcript

Aravind Kodipaka: Okay. Understood. The second question is regarding inventory on the balance sheet.

Now, I understand there is been a rapid store expansion. In fact, we have gone from 77 stores in FY22 to roughly 300 stores by quarter end of this year. But your expansion of inventory on balance sheet has also rapidly increased.

In fact, if you just look at inventory per store, right, or inventory days, whichever you look at, right, let us just say inventory per store went from Rs. 2.5 crores of inventory per store to roughly Rs. 6 crore-ish per store. I do not understand what exactly drove this rapid expansion in inventory on the balance sheet.

Rumit Dugar: So, Aravind, this is Rumit. I will take that. Look, before I actually get into the specific question, let me also kind of take a step back and give you some color on how we kind of operate, how we recognize revenue, etc. So, you can contextualize our inventory versus some of the other peer sets, etc.

So, one is in terms of revenue recognition, we recognize revenue only on a B2C or a retail sales basis. So, even though we have some franchisee stores, we do not recognize revenue when inventory moves from our balance sheet to, let us say, a franchisee store, right? So, we are a B2C sales revenue recognition. As a result, the balance sheet, the inventory that you see is the full view of the retail channel. That is number one. Number two is, again, we are fully vertically integrated into manufacturing, which reflects in our superior contribution margins, etc., right, versus the peer group. So, there is also manufacturing inventory that is sitting on our balance sheet, which you need to consider.

Third factor now coming to the inventory, large part of the inventory is gold. And to the extent the inventory is hedged, there will be obviously mark-to-market. So, inventory growth is not necessarily a function of us adding more inventory, but it is just that if the gold prices keep going up, which you have seen over the last two years to three years, obviously, it increases the inventory value. So, that is the third factor. And the fourth one is, obviously, the amount of stores that we have opened. So, if you look at our 292 stores that we have as of Q1, of this almost 83 opened in FY25. So, nearly 210 stores have opened actually in the last three years, right? So, if you are going to compare my inventory from FY22 to where we are or FY23 to where we are today, you have

to factor in the gold price movement, as well as the rollout of new stores.

Also, the average age of our stores is, as a result, quite young. And thus, if you look at our RHP, we have given, the typical store performance and even in this quarter's management commentary, we have disclosed the oldest cohorts, what kind of revenue productivity they are delivering. So, you can see that FY25, my 19-20 cohorts were at Rs. 12 crore revenue productivity.

11Q1FY26 | Earnings Call Transcript

So, typically, the way to think about inventory turn is, at a very fundamental level, is look at the turn and on every turn, how much gross margin I am generating? So, you could have one model where you do coin sales at 3% margin and do 10 inventory turns, and you will have a 30% GMROI and that is your fundamental source of ROC in the business, right? Because 30% GMROI is the source of ROC and then it kind of translates after OpEx, etc., into the company level ROC.

Or you could operate at 1.82 turns with a 30%, 35%, 38% GM and then, let us say, at a 38% GM, you generate a 70% sort of GMROI, right? And that becomes your fundamental source of ROC. So, you cannot look at only inventory turn in isolation, it has to be viewed in context of gross margin. And the metric that we try to optimize is the GMROI because that is our fundamental source of ROC in the business.

Aravind Kodipaka: Sure. I understood what you are trying to explain here. Just a very quick question. I understand the impact of gold prices on inventory and the days moving up, right? But

that would have also had an impact on your revenue, right? Gold prices would have also aided the revenue growth. So, when I see an inventory --

Gaurav Singh Kushwaha: I will just cut you there. When you look at year end numbers and the way the gold moved from January to March, I do not think sales would have time to catch up. In fact, especially if you are looking at the annual sales. If you are looking at FY25 – If gold goes up 40% in one month, your sale will not increase by 40%. In fact, on the contrary, your sales will tip when gold is volatile. And it takes time, it takes time for that catch-up to happen. I will chart the territory, especially when it comes to the way gold is fluctuating.

Aravind Kodipaka: Yes. I am aware of this mechanism in jewellers. I am looking at a longer frame itself. I am looking from FY22 to FY25. Over this period, we did see gold prices move up. I am not saying one month gold price increase would have had an impact immediately on revenue.

But also what I am trying to get to is even if I factor in the gold price impact, whether it is on one-year basis or three-year basis on inventory and revenue, your inventory turn would have still gotten down roughly 2.8 times --?

Gaurav Singh Kushwaha: So, if you are looking at very long-term from FY22 to FY25, it has less to do with, let us say, gold price movement. And gold price movement actually only impacts it when you are looking at year end inventory and full-year sale, which maybe you are normalizing for, which is the right thing to do when we are expanding at this rapid pace. Now, in our case, a big reason for that also is the maturity and the growth of stores.

12Q1FY26 | Earnings Call Transcript

With the kind of SSSGs we are seeing, and if you look at those 200 stores, which have been opened in less than two years to three years, those are going to take time to fully show results on the inventory and the capital that is deployed in those stores. When I look at my mature stores, or not mature because even they are growing very rapidly, but older stores, this number is much, much stronger. What you are seeing is a blend of new and old stores.

And, in fact, on top of that, manufacturing inventory also. So, once you start culling a lot of those things out, the numbers are actually much, much better.

Moderator: Thank you, Mr. Aravind. The next question comes from the line of Tejas Shah an individual investor. Please go ahead.

Tejas Shah

: Hi, this is Tejas from Avendus Spark. Just wanted to understand, what was the revenue per square feet for this quarter? And typically, how many quarters does a new store take to reach maturity? And you just spoke about that even mature stores are doing a good number. So, what is typically the number that revenue per square feet, that mature store kind of stabilizes?

Rumit Dugar: Yes. So, Tejas, given our business model and our formats, really revenue per square feet is not a metric that we look at or we track. I think the best way to see it is revenue per store. So, if I look at my older cohorts, the stores that opened in FY19 - FY20 in FY25, on an average, they did a revenue of about Rs. 12 crores per annum. And the rental for these stores would be in the range of, you know, Rs. 40 – 45 lakhs per annum. So, that kind of gives you an idea that, the rental cost is a percentage of overall revenue in this particular category and in our omni-channel business model because our format sizes are 1800 - 2000 square feet average. Revenue per square feet is not something that we track.

So, the focus metric for us is to drive the revenue per store. And given our contribution margins are pretty high, a lot of the operating leverage kind of keeps flowing in to the EBITDA at a store level.

Tejas Shah: Okay. And if you can just elaborate, if revenue per square feet does not matter, then how does revenue per store matter? Because I can understand there is an underlying commodity volatility, perhaps. I just wanted to understand, because how do you measure the productivity of the store?

Rumit Dugar: So, on a per store metric, right? So, revenue per store, rent per store, employee cost per store, facility cost per store. So, the way we build the unit economics and you can look at it in the RHP, we have given the unit economics of our older cohorts.

13Q1FY26 | Earnings Call Transcript

So, typically an all-in cost in our FY19 - FY20 cohort is about 1 crore, which includes rent, facilities, and store employee cost. So, now if a Rs. 12 crore revenue productivity store at 30% - 32% contribution margin, there is about Rs. 3.2 crores of contribution with about Rs. 1 crore of OpEx, which includes rent. So, that delivers a 22% post-rental store level EBITDA. So, that is the way we think about it.

And these stores are still seeing SSSGs, right? So, it is not that these are our oldest cohorts, but not to say they are matured. And thus, there are a lot of categories where

we are still not present in. There is room to expand merchandise. There is room to build and get into more product categories, subcategories, which can then continue to drive growth, even in these stores.

And as you can see, if on an existing mature cohort or the older cohort stores, at Rs. 12 crore, if there is a 15% - 20% kind of SSSG, that incremental revenue, the EBITDA margin for that is almost equal to contribution margin.

Tejas Shah: And mature stores are showing SSSG, which is volume led, or because there is a lot of pricing element also, which plays a role here, right?

Gaurav Singh Kushwaha: We generally are non-existent in coins, chains, and a lot of grammage-based products.

And typically, in our case, what happens is people come with a budget of, let us say, Rs. 50,000 to Rs. 70,000. Now, that same person's budget is not going to double if the gold has doubled. They are all mostly middle class, right?

So, essentially, the product that they end up buying is different, because one year back, there was some other product in their budget. Now, there is some other product in their budget. So, that is essentially what we largely see. Also, historically, there have been periods when gold was not moving that rapidly. Our ASPs have increased in those periods also.

So, if you go back two - three years and so on, and not look at just the current ASP increase, you will see that those ASPs have generally been increasing.

Tejas Shah: Okay. And last one, if I may, and since we are talking for

the first time, just wanted to

understand what are the top five KPIs you monitor to understand the demand environment and productivity of the stores?

Rumit Dugar: So, Tejas, what we look at is, one, the cohort level per store per month revenues. I think that is one of the key matrices that we kind of look at. And then, obviously, it gets broken down into how much is repeat, how much is coming from new customers, how much is the AOV. And these are the output metrics. But a lot of our fundamental approach to execution is very input-driven.

14Q1FY26 | Earnings Call Transcript

So, metrics that we control in terms of the designs, in terms of the inventORIZATION, in terms of the design turns, in terms of the GMROI at a design level, etc. So, a lot of our matrices are very input-based. But from your perspective, the output metrics, I think the key one is revenue per store per month at a cohort level. I think that is the key output metric, I would say.

Tejas Shah: Perfect. Thanks a lot and all the best for the coming quarters.

Moderator: Thank you. The next question comes from the line of Aditya Jain from Katrela Ventures. Please go ahead.

Aditya Jain: Hi, good evening. Thank you so much for this opportunity. Congratulations on the strong growth, Gaurav and Rumit. My question is on the same. We see a few factors playing out in this growth. I mean, despite the elevated gold prices, we have seen your customer base expanding. You have opened up new stores.

But at the same time, we see moderation in your stud mix. It has gone down to 64% from 69%. But the gap was filled with an increase in average order value. So, how do you see these factors playing out in the upcoming quarters? Which one do you see would play a main role in sustaining the growth?

At the same time, can you help me understand if this increase in average order value was adjusted for the prices or is it including the price, right?

Gaurav Singh Kushwaha: So, I think in terms of plain gold and in terms of studded ratios, etc., I think as we are expanding more and more stores and I think behaviorally, 64% - 69% is not -- I think our general endeavor has been to kind of be more studded focused. And 64% - 69%, I understand that there is a marginal difference there. But I think that is just behavioral change. And especially in these volatile times, some of these mixes are just moving here and there.

Yes, so on AOV, we do not track it at volume. Because honestly, the kind of margins that we have with 38% gross margin, it is not driven by volume. When someone is actually paying 38% on top of the value of the gold, they are not driven by buying a 10-gram gold coin or 10-gram gold chain and so on. We do not sell those kinds of products. And hence, we see AOV increase even when the gold is flat. It is not that our AOVs decrease when gold drops or we remain flat when the gold is flat. So, we have not seen that behavior. We have not seen that cause and effect.

Aditya Jain: Understood. And this increase in customer base, Customer base expansion, this is largely driven by your online efforts or new stores now?

15Q1FY26 | Earnings Call Transcript

Gaurav Singh Kushwaha: Both. So, essentially, I think what is happening is the omni-channel as a behavior is fundamentally sweeping in more and more people. And younger generation is naturally online all the time. You can just see around yourself also. Everyone is just

glued on their mobile all the time. A lot of this discovery happens on Instagram, Google, and so on. People are just discovering the world on their reels, on their TikToks, and so on.

So, I think all that is happening and all the more that happens, the stronger we will keep on becoming because we kind of tap much better into those platforms than the traditional players. So, that is happening. I think it is a behavior. It is a societal change. If I just kind of try to look ahead 20 years, I think all the discovery in a lot of mobile and technology or internet, we are doing a lot more

than what it is doing right now.

So, I think it is a behavior change that has happened over the last 20 years. We are in 2025 right now. 2005, there was no mobile. There were hardly any wireless routers. Right from there, we have come to this point in 20 years. Next 20 years, it is going to be God only knows what will happen. But internet and technology is going to play a much stronger role. And that is where we are much stronger.

Aditya Jain: Understood. Since this is driven by omni-channel growth and you also mentioned that you have cut down on your marketing costs, your marketing cost has gone down by a few percentage points. I mean, how is that impacted given your conversion cycles of around one month?

Gaurav Singh Kushwaha: It is efficiency has increased drastically. In the last one year, the platform's efficiency has increased drastically.

Aditya Jain: So, it is on the back of efficiency, or it is on the back of reducing cost per lead or any other method?

Gaurav Singh Kushwaha: Which is efficiency, right? Okay. So, typically what happens is what gives online marketing more strength over traditional marketing is the ability of that platform to know about each individual customer. And you would have experienced that also if you are an Instagram user or Google user.

If you have a certain intent, these platforms are much stronger now or much more accurate now in targeting you. So, that efficiency essentially is what translates into eventual marketing efficiency also, which traditional media does not have. You still have the spray-and-paint. Traditional media is all about spray-and-paint.

Aditya Jain: Understood. My last question is on the same-store sales growth. I believe a few of the people have asked the same question. But your same-store sales growth for this quarter was around 18.4%. At the same time, the FY25 growth was around 32.1%.

16Q1FY26 | Earnings Call Transcript

Now, I believe you have opened up new stores as well. How do you see the same-store sales growth spanning out across different regions or different geographies? And if there is any particular geography that is moving slow, how are you managing inventory there?

Rumit Dugar: So, I think from a geographical perspective, it is reasonably well distributed. I do not think there is anything to call out from a geographical perspective. I think what has also happened is, you see in this calendar year, gold has moved from Rs. 75,000 to almost Rs. 1 lakh plus. And it has all happened in a very short time.

As Gaurav was, I think, answering one of the questions earlier in terms of gold price increase. Gold price increase, in fact, pauses the customer purchase. So, what consumers, especially our type of buyers, want to see is a stable gold price. Or if the gold price is trending up but with not high velocity change.

So, that is what I think has been there for the last bulk of this calendar year. So, I think the growth is still pretty strong considering the outlook and the environment of very high gold prices. If you recall, April had a record price increase in gold. So, I think I will leave it there.

Aditya Jain: Understood. All right. Thank you so much.

Moderator: The next question comes from the line of Gopal with SBI Life Insurance. Please go ahead.

Gopal: Congrats for the strong performance. My question was on a couple of things on P&L side. This franchisee commission was higher sequentially and year-on-year. Is there any one-offs in this?

Rumit Dugar: Yes. So, there were some franchisee settlements that are there. So, some of the contracts that we had earlier with the franchisees, I think as we are exiting those contracts, there are some of these one-time kind of settlements that are there when we exit these contracts.

Gopal: So, right now, what is the mix? Franchisee and own store?

Rumit Dugar: 75 is franchisee out of 292.

Gopal: Okay. And if I am not wrong, this is part of financial cost?

Rumit Dugar: No. So, there are two components, Gopal. One is the mini

mum guarantee that we give

to the franchisees which is recorded as financial cost. And anything over and above that minimum guarantee is recorded as OpEx. So, what you have seen in that 17Q1FY26 |Earnings Call Transcript

franchisee expense is the delta on the OpEx as there were some exits that we are taking and then there are some provisions with respect to those exits that we are taking with those franchisees.

Gopal: Okay. And the absolute other expenses were down and if I try to split it between spends, I was wondering why manufacturing expenses should be down absolute level?

Rumit Dugar: So, two things there. One is that because we are vertically integrated into manufacturing, manufacturing expense is a function of how much production I have done in that quarter. So, if you look at our inventory change, our inventory change between Q4 and Q1 is not very large. Right. So, there was no big inventory buildup. So, the production facilities were optimized for efficiency, not for inventory buildup. And thus, the expenses are lower. And same time last year we were kind of ramping up, right? Because we are opening 83 stores, the store rollout was front loaded, etc. And it is also a function of capital. In last year, if you have access to capital, then you front load some of the inventory for seasonality, for store rollout. So, I think all that also creates some volatility in the base quarter.

Gaurav Singh Kushwaha: And also Gopal, we had some of the factories which are new there. So, any new factory essentially takes some time to start operating at more efficiency or higher efficiency, which has happened with us.

Gopal: I can understand on efficiency, but how come absolute expenses go down is where I was wondering actually.

Rumit Dugar: Yes, which is as I said, I mentioned Gopal, it is a function of production, right? Like if I am not building out inventory, the production that I am doing in that quarter is lower. Thus, the labor that I need to use, right, in terms of cost, the quantum of all the expenses is much lower. Because I can keep moving up and down my manned capacity.

So, there is an installed capacity and then there is a manned capacity. I can keep adjusting the manned capacity to optimize capacity utilization.

Gopal: And same is the case on the ad spend side?

Gaurav Singh Kushwaha: I answered this question as part of the previous question also. So, platform's efficiencies have increased. We have seen from last year to this year, we are seeing significant improvement in the efficiency of online platforms. It is mainly Google and Facebook that we worked with.

18Q1FY26 |Earnings Call Transcript

Rumit Dugar: Just to add also, Gopal, there was a downward revision in our Carat Upgrade offer, right? So, earlier when we had launched the offer, that way we are now spending less. Like the absolute cost. So, that also drives slightly lower cost.

Gopal: So, out of the Rs. 34 crore, how much is related to extra carat which you are giving?

Rumit Dugar: I do not have the exact number. Maybe I can come back to you in terms of the exact percentages of how much of this breakup of Rs. 34 crores.

Gopal: Generally, how much is it on a full-year basis?

Rumit Dugar: I think historically it has been about 2% - 3% in that territory. Historically, I am saying. Now, in this base quarter, it would have come down for sure. 2% - 3% of sales, I am saying.

Moderator: Thank you. The next question comes from the line of Arpit Shah with Stallion Asset. Please go ahead.

Arpit Shah: Hi, Gaurav. Hi Rumit. Congratulations on the IPO, on the listing. I am just seeing the company very initially. Just wanted to understand what is the difference between our contribution and gross margins? That would be my one question.

Rumit Dugar: Yes, sure. The delta between our contribution and gross margin is, we are vertically integrated into manufacturing. Our gross margins are material margins. So, between contribution and our gross margin, we have the factory cost, the pa

yment gateway

cost, logistics, insurance. So, the delta is roughly the direct cost, which includes production, hall marking, certification, payment gateway, insurance, and logistics.

Arpit Shah: Right. And you did mention in some of your answers that our mature stores or at least our older stores are doing about 23% - 24% operating margins. So does this number include the corporate overheads or the branding expenses for the company or is this a standalone store number, 23% - 24% operating margins?

Rumit Dugar: That is store level margins.

Arpit Shah: Got it. And can you help me with the store economics as well, inventory per store, capex per store, what kind of numbers do we do there? And how does the store look like in terms of year one revenue, year two revenue, year three revenue? And I also wanted to understand the model on the franchising side. What kind of minimum

guarantees or what kind of OpEx guarantees do we have to give them? And if you can just walk through that.

19Q1FY26 | Earnings Call Transcript

Rumit Dugar: Sure. I will take the last one first on the franchising model. This was a model that we had in 2019-20 when we started moving from pure digital to omni. And that was the capital that was available to us and that worked as mezz financing. So we have stopped doing franchises largely and we are exiting those contracts. These typically had a 12% - 15% kind of minimum guarantee and revenue share.

On store economics, I would actually encourage you in the interest of time to actually look at the RHP. We have a store economics model detailed out in the RHP for the older cohorts. And maybe we can, I mean, it will require a detailed answer. So just in the interest of time, maybe you can have a look at the RHP and then you can reach out to us and we can take that up.

Arpit Shah: Sure. Thank you.

Moderator: The next question comes from the line of Percy from IIFL Capital. Please go ahead.

Percy: Hi, Rumit. I just wanted to understand on the inventory of Rs. 1,750 crores, would you be able to give me an idea how much of it is actually store inventory?

Rumit Dugar: So it is about 70%, close to 70%, Percy.

Percy: 70%, so that means that it is around Rs. 4.2 — 4.3 crores per store on an average. My question was that does this number vary widely between stores if the average is Rs. 4.2 crores? Does it vary widely or it would be in a very narrow band between different stores?

Rumit Dugar: It does, so the first part of the answer is yes, it varies. It is a function of vintage performance. Some stores have higher productivity, and you back the winners, you put more merchandise. It would vary, but I think at a broader level, these averages are reasonably representative of where we are. So I would say these are not skewed averages. These are reasonable averages.

Percy: Okay, because my question was if this number goes up as the store matures and as it gets more sales, then do we see the average inventory days more or less stubborn at this level? That is what I wanted to answer.

Rumit Dugar: No, I think the way to look at this is GMROI; that is really the fundamental metric. I think there is a very classical way of looking at typically a plain gold commodity kind of business, which is just an inventory turn business.

But in our case, we are a product and design-based business. And as a result, it is just not inventory turn, it is also at what margin we are turning that inventory because fundamentally, obviously, we have to generate a strong ROC, which is what our older 20Q1FY26 | Earnings Call Transcript

cohorts are demonstrating. So, I would urge to look at GMROIs because that is the metric that we optimize. Inventory turn will give you half-truth. Margins will give you half-truth. So the combination is where the --

Percy: So, at a company level GMROI will go up or do you think, I mean, what will drive the GMROI at the company level?

Rumit Dugar: So, Percy, at a company level, the GMROI will be driven by store vintage and maturity

.
So you have a fundamental GMROI, which is visible in, let us say, an FY19 - FY20 cohort and their productivity, unit economics are quite stable, still improving. So as the broader portfolio gets to maturity, so if my entire portfolio is at Rs. 10 crores - Rs. 12 crores at a portfolio level, productivity, you will see the GMROI as an ROC that you see at the store at a corporate company level. I think that is the way to think about it.

Percy: Got it. And in terms of store expansion, when you put new stores now, are you rethinking the size or will you continue with this 1,800 - 1,900 average?

Rumit Dugar: I think at the moment, we are good.

Percy: Okay. That is all from my side. Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Rumit Dugar: Thank you, everyone. Thank you for taking time to join our first earnings call. The E&Y team and the BlueStone team are available. If your questions have not been taken up in the queue due to paucity of time, please feel free to reach out to us and we will be happy to address them. Thank you and good evening.

Moderator: Thank you. On behalf of BlueStone Jewellery and Lifestyle Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

21Q1FY26 | Earnings Call Transcript

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Call: Nov 2025

BlueStone Jewellery and Lifestyle Limited

[Formerly Known as BlueStone Jewellery and Lifestyle Private Limited]

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November 12, 2025

To,

BSE Ltd.

Listing Department,

P. J. Towers, Dalal Street,

Mumbai – 400 001.

(Scrip Code: Equity - 544484), National Stock Exchange of India Ltd.

Exchange Plaza,

Bandra-Kurla Complex,

Bandra (E), Mumbai – 400 051.

(Symbol: BLUESTONE, Series EQ)

Dear Sirs/ Madam,

Sub.: – Q2 FY26 Earnings Call Transcript.

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call held on November 04, 2025 for Q2 FY 2025-26 has been available on the website of the Company's website at www.bluestone.com under Investors Relations-> Investor updates -> 2025-2026-> Q2.

Link : https://kincling1.bluestone.com/static/ir/iu/BlueStoneJewelleryandLifestyleLimited-Q2FY26-Earnings-Call-Transcript_clean.pdf

Kindly take the above on your record.

Thanking you,

Your Sincerely,

For Bluestone Jewellery and Lifestyle Limited

(Formerly known as Bluestone Jewellery and Lifestyle Private Limited)

Gaurav Singh Kushwaha

Managing Director

DIN: 01674879

1BlueStone Jewellery and Lifestyle Limited

Q2 FY26 Earnings Call

November 4, 2025

MANAGEMENT : M R.GAURAV SINGH KUSHWAHA –FOUNDER ,MANAGING
DIRECTOR &CHIEF EXECUTIVE OFFICER

MR.RUMIT DUGAR –CHIEF FINANCIAL OFFICER

MR.VIPIN SHARMA –CHIEF MERCHANDISING OFFICER

2

Q2FY26 |Earnings Call Transcript

Moderator: Ladies and gentlemen, good day, and welcome to BlueStone Jewellery and Lifestyle Limited Q2 FY26 Earnings Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Rhea Dharia from EY. Thank you. And over to

you, ma'am.

Rhea Dharia: Thank you, Dorwin. Good evening to all the participants on this call.

Before we proceed with the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievement to differ significantly from what is expressed or implied in such forward-looking statements.

Please note that we have mailed the results and the same is available on the exchange.

In case you have not received the same, you can write to us and we will be happy to send the same over to you.

To take us through the results and answer your questions today, we have the top Management of BlueStone Jewellery and Lifestyle Limited represented by Mr. Gaurav Singh Kushwaha – Founder, Managing Director and Chief Executive Officer; Mr. Rumi Dugar – Chief Financial Officer and Mr. Vipin Sharma – Chief Merchandising Officer.

We will start the call with a brief overview of the quarter gone past and then conduct the Q&A session.

With that said, I will now hand over the call to Mr. Gaurav.

Gaurav Singh Kushwaha: Good evening, everyone. Thank you for joining us today. We welcome you to BlueStone's Quarter Two Earnings Conference Call.

It gives me great pleasure to share another strong quarter of performance. This is particularly encouraging, given a rather volatile gold price environment coupled with high base of the preceding quarter last year.

I will take you through the 'Key Business Highlights' and then Rumi can talk about the 'Financial Performance'.

3

Q2FY26 |Earnings Call Transcript

Our performance this quarter underscores the resilience of our business model and deep execution focus. We continue to benefit from our omni-channel strategy which seamlessly connects our online presence with an expanding physical retail footprint. As of September end, we operate 311 stores across 127 cities, adding 19 new stores during the quarter.

Customer trend remains strong with our customer base growing 31% year-on-year to 858,000 customers and same store sales growth of 11.1% YoY, supported by a continued focus on design innovation and superior customer experience.

This quarter's performance is strong considering the high base effect of Q2 FY25 where custom duty cut had released pent-up demand and SSSG in preceding quarter last year was in excess of 43%. Gold price operating environment was dynamic in this quarter and customer demand was mixed in September, but we saw a very strong festive finish towards the end.

From a strategic perspective, we continue to make investments in design capabilities and drive operational efficiencies. Much of the investment we made in the past 15 months to 18 months, whether it may be in manufacturing capacity, stores and designs, are beginning to translate into tangible operating results both at revenue and operating profit level. Our cohorts are still young and there is significant room for growth and operating leverage.

From an operational perspective, we continue to invest in design capabilities, both on talent and manufacturing techniques, strengthen store productivity and build on density as well as enter new markets, and optimize capital efficiency.

Our digital tech-first DNA continues to power everything we do from designs to shelf turnarou

nd to marketing efficiencies to creating personalized tech-enabled shopping experiences that connect with India's new-age jewellery consumers.

Thank you. And with that, I will hand over to Rumi to walk you through the financials before we open the floor to questions.

Rumi Dugar: Thank you, Gaurav. Good evening everyone and thank you for joining us today.

I am pleased to share our financial performance for Q2 FY26. I will keep my remarks brief as we have detailed disclosures and materials available on the Stock Exchanges.

Also, please note, that our accounting and revenue recognition is based on only secondary retail sales.

4

Q2FY26 |Earnings Call Transcript

For the quarter, we delivered a record standalone revenues crossing Rs. 500 crores and a strong growth of 37.4% year-on-year even with the high base effect of Q2 FY25, which had benefited from custom duty cut.

For the first half of FY26, we have delivered a growth of 39.4% year-on-year. Our strong revenue growth continues to translate into operating leverage with a much stronger

adjusted EBITDA performance with margins expanding to 13.9% compared to 1.4% in the same quarter last year.

From a transparency perspective, we continue to disclose inventory gain or losses separately so that our core operating performance remains visible and measurable. This quarter, we recorded an inventory gain of Rs. 160 million. Given our vertically integrated model into manufacturing, contribution margin excluding inventory gain is the core operating and core margin metric to track. This margin improved to 31.8% and expansion of over 300 basis points year-on-year, driven by scale and manufacturing efficiencies.

Our pre-IndAS EBITDA margins for the quarter excluding inventory gains stood at 3.1% versus -5.6% in same quarter last year, reflecting the strength of the model and the operating leverage that is starting to flow in. For the first half of FY26, pre-IndAS EBITDA margins excluding inventory gains stood at 3.9% as compared to -4.6% in the first half of last year.

A&P expenses were at 8.2% of revenue for the quarter, down over 220 basis points year-on-year, but higher sequentially driven by early festive and consumer push towards old gold exchange that drove higher adoption of our Big Gold exchange program. Overall, our cost structure is steady and aging cohorts along with revenue scale is driving operating leverage. On balance sheet metrics, our balance sheet remains strong and is well positioned for growth driven by the equity raise that we completed as part of the IPO in this quarter. Gross debt is down marginally year-on-year and broadly steady on a sequential basis.

To summarize, Q2 FY26 has been another strong quarter for us, one where we have continued to deliver robust revenue growth and strong core margin performance both at the contribution level as well as the EBITDA level.

Thank you. Operator, we can now open the floor for questions.

Moderator: Certainly, sir. Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Percy Panthaki from IIFL Securities. Please go ahead.

5

Q2FY26 |Earnings Call Transcript

Percy Panthaki: Hi, just trying to understand your quarterly margin seasonality. So, now we have margins for all the four quarters of the last year. However, we do not know how much of inventory gain loss or how much of custom duty one-time impact has happened in any of these quarters.

So, it would really help if on a theoretical basis, if you can just help with the margin seasonality, in the sense that, if there is a full year EBITDA margin, 1Q would be how many basis points above or below that? 2Q would be how many basis points above or below that? 3Q would be how many and so on? So, that would help us understand what is the normal seasonality in the EBITDA margins on a pre-IndAS basis, excluding inventory gain loss.

Rumit Dugar: This is Rumit here, Percy. So, given at the stage that we are in where there is both strong revenue ramp up as well as aging of our store cohorts, it is very difficult to kind of use historical benchmarks to give you a seasonality or a breakdown of how percentage EBITDA is going to move between first half and second half.

That being said, I think a good way to think about this is that largely the cost base is fixed. So, incremental revenue growth which is demonstrated in the seasonality whether of Q3 or Q4 versus the first half will flow in at a contribution margin level. And then, below the contribution margin largely the cost base remains fixed except for the stores that we are adding. So, we are at a phase where there is tremendous amount of operating leverage that is kind of playing out.

So, it is very hard Percy to give you like a pie chart or a breakdown between first half and second half.

Percy Panthaki: What I am asking Rumit is that your Q2 EBITDA margin of 3.1 is lower than your Q1 EBITDA margin of 4.7. And as you say, we are growing in scale etc. So, is this a normal seasonality that Q2 margin will be lower than Q1 or what?

Rumit Dugar: So, I would not say it is just seasonality. There is some element of that because what happens is by the time you get into Q2 you have a fair amount of stores that have opened in Q1 as well as Q2. So, there is a larger base of cost, which is sitting in Q2 relative to Q1.

So, I think that is one delta, but I think if you are asking specifically for this quarter, I think there has been higher A&P sequentially, because festive was ahead in Q2. So, there are sometimes you have these dislocations where when the festive is coming whether it is in Q2 or is fully in Q3. So, largely it is driven by that shift in A&P.

Percy Panthaki: The festive timing mismatch and the resultant phasing of ad spend that is to the extent of approximately how many basis points of sales?

Q2FY26 | Earnings Call Transcript

Rumit Dugar: So, there are two components that are at play as I had highlighted in my opening remarks. One is that our Big Gold Upgrade (old-gold exchange) program there was a much stronger adoption of that given how the gold prices were. So, there is a significant impact of that as well as the festive. So, I think it is a combination of these two which you are seeing as a reflection on a sequential basis.

Percy Panthaki: Understood. And if I just look at the second part, which is only the festive which is just a phasing issue and I am assuming that instead of in 3Q the spends have happened in 2Q and to that extent 3Q spends would be lower. So, if I look at that how much is the adjustment that I need to sort of understand that okay Q2 margins in absence of the change in timing would have been higher by this much and that benefit will happen in 3Q instead.

Rumit Dugar: I think you can assume in the range of 50 basis points to 100 basis points. I would say in that territory, because I think there is still festive in Q3. So, Dhanteras etc. is still in Q3. So, only the Navratri piece got moved into Q2. So, 50 to 100 basis points is what I would say.

Percy Panthaki: Understood. Secondly, just wanted to ask on the inventory part. In the past three months, it has gone up by about Rs. 220 crore approximately. You have opened 19 stores in the past three months. So, the store opens at let us say Rs. 3 crores - Rs. 3.5 crore. So, about Rs. 60 crores - Rs. 70 crores of inventory goes there, remaining another Rs. 150 crore of inventory has gone up.

So, what is the reason for this? We were already at a decently high inventory level and now, basically we do not need to necessarily put more and more inventory into existing stores at least for a while. We were supposed to get a leverage on the inventory turns, that has not happened this quarter. So, what is the reason?

Rumit Dugar: So, couple of points there, Percy. One is that because the gold prices go up, the store at which you need to start the inventory, you need minimum pieces, so to that extent, anyways the inventory that you start a sto

re with goes up a little bit. Second is obviously there is a mark to market effect on that inventory. So, that is what is the delta, mark-to-market to the extent that we are hedged. Those are the two components that are driving it.

One more thing is the festive came in earlier. So, there is that build up of inventory anyways which is a little bit different by seasonality.

Percy Panthaki: Understood. Coming to 3Q, is there any sort of benefit in terms of margins on account of the festive in the sense that you sell higher gross margin pieces or you get an operating leverage benefit or anything like that? Just trying to understand if 3Q

Q2FY26 | Earnings Call Transcript

margins, the logic should be even higher than 1Q margins, right? I mean at EBITDA level, is this understanding correct?

Gaurav Singh Kushwaha: Percy, hi. Gaurav this side. So, Percy, like Rumit was pointing earlier that a lot of our cost base is very fixed in nature. So, as we see the stores productivity go up during this quarter where the cost would not go up proportionally. So, logically speaking, EBITDA margins should definitely go up.

Percy Panthaki: Okay, got it. Thanks a lot. That is all from me. All the best.

Moderator: Thank you. We have our next question from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, thanks for the opportunity. Just wanted to understand based on your customer profile and your presence today, how should we think about your peer group to compare with and within the listed universe, whom do you mark yourself with in terms of performance?

Gaurav Singh Kushwaha: So, I think from the very time we started around 2012, truly there had been only one company which did business or which kind of approached the customers in a very similar fashion as we did, that is CaratLane. So, it is not listed separately, but I think it is very well understood as part of Titan group.

Apart from that, I think a lot of players are kind of, they fall in that other bucket of legacy players, traditional designs, very retail and kind of cost driven approach. Whereas both CaratLane and BlueStone, especially BlueStone in our case, we deal with design, we deal with omni-channel experience. That is how we always operated.

And I think to that extent, today's young consumers, which is also going up in the next generation that is coming up, and the generation is always on their mobile, on their online devices, etc. Yet, there are categories where the importance of offline presence, offline touchpoint and offline experience is also very, very high, like any high touchpoint category, jewellery, cars, etc.

So, our approach to this category, our approach to the design is very, very different from almost all the legacy players. And to that extent, there is no directly listed player. But I think in CaratLane's numbers, CaratLane is one company or one brand that comes closest to us.

Tejas Shah: Thanks, very clear. Second and last question, this last two quarters have been very volatile, especially the last quarter pertaining to gold prices. And there are evidences of latent demand or people holding back demand also.

8

Q2FY26 | Earnings Call Transcript

So, just wanted to understand and since you capture a lot of data, are you seeing that there is a lot of inquiries happening online or offline, which has not been converted because people are pushing the purchases?

And second, historically, since you have 10-year data with you, similar episode happened somewhere around 2013 - 2014 also when gold prices were volatile. How does it play out, let us say, if hypothetically, we have to assume that gold price is correct by 20% - 25% in the next three months' time?

Gaurav Singh Kushwaha: So, see the last two - three quarters have been the most volatile period I have seen since I have been in the business. Now, I think we are also learning it. So, you spoke about 2013, but Tejas very honestly, I had only started business. I did not even und

erstand jewellery at that time individually. It was second year in operation, and I do not come from that background. In fact, I do not even remember that time, which is largely focused on online only.

So, as I think that year, the scale of business might have been some Rs. 5 crores - Rs. 10 crores in revenues, etc. So, it is very difficult. So, I do not even have any memories of that period. I think what we are seeing right now is when the gold is so volatile, people tend to hold back. It is just, I mean, having that feeling that, okay, if only I had bought it 15 days back, I could have gotten it much cheaper, etc. I think that is what, and then a lot of people expect the price to also come back.

So, I think people holding back their purchases is very real and we see that in our data. We see that in Titan's commentary also, or other players also talk about that. We see a big impact on demand of these sudden movements in pricing. And if you remember last year, same quarter, when the government dropped the price, the custom duty by around 9-10 percentage points, we saw a huge jump in demand.

So, I think our category is such that the pricing is linked to the gold rate and the volatility in the gold rate does have an impact on how the demand shapes or at least in the mid-term. And I think that has been going on for the last couple of quarters. And what we saw in Q3 was that as festive period approached and people kind of understood that, or people believed that the gold is here to stay, I think some of the demand came back is what we noticed.

Tejas Shah: Thanks, that is very helpful. And all the best for coming quarters.

Moderator: Thank you. Our next question comes from the line of Harish Advani from Axis Capital. Please go ahead.

Harish Advani: Hi, thank you for taking my question. The first question was on the SSSG. So, you mentioned that we have done 11% SSSG on a very high base of last year due to custom

9

Q2FY26 | Earnings Call Transcript

duty cost. So, how do you think about this going forward from Q3 onwards now that that is being wrapped up? And at the same time, if you could share some data of the 3-5 year cohort which are some of the more mature stores? That would be my first question.

Gaurav Singh Kushwaha: So, Harish, on SSSG, as we pointed out earlier also, last year, same quarter was very, very strong. And the same store sales growth in that quarter was 43%. So, to that extent, the base was very high from where we had to jump, which is why the SSSG for this quarter is slightly less than 11 point something.

I think for future, as a company, we refrain from giving any guidance. I think I will just refer to the SSSG in quarter one, which was close to 18%. And I think these are the factual numbers that we will be happy to talk about, but not give any forward guidance.

And your second question was on the older stores?

Harish Advani: Yes, oldest stores.

Gaurav Singh Kushwaha: The oldest stores?

Harish Advani: Yes, how are they doing any competitively?

Gaurav Singh Kushwaha: So, they are also growing. They are more or less in the same territory as our is blended number.

Harish Advani: Okay. Similarly, when we look at the margins, I understand there is a great amount of

operating leverage which is coming in. But how do we think about margins for FY26 pre-IndAS except the inventory gains? Is a mid-single digit kind of a margin a fair assumption? Or are we looking at a higher number over there?

Rumit Dugar: See, let me try and give you some color without actually giving a guidance, right? So, if you look at first half of FY26, we are already about mid-single digit. So, our pre-IndAS EBITDA margin was close to 4% versus -4.6% in the first half, right.

Second is, as Gaurav had alluded to, while answering the question that was asked earlier, there is a fair amount of operating leverage given our cost base is fixed, right?

And as you know in this business there is a fair amount of seasonality with Q3 or second half rather being

better than first half. So, we are already close to single, mid-single digit in first half with the seasonality to play out.

10

Q2FY26 |Earnings Call Transcript

Harish Advani: Okay. Another question I had was on the store expansion guidance. So, we have done close to about 40 in the first half, are we expecting a similar kind of a trend in the second half of the year? And is that the number we can kind of build in for '27 and '28?

Rumit Dugar: I think for this year, we should be in that 70 - 80 kind of that ballpark range. I think beyond this, I think we do not want to give out a number for next year. But if you look at our distribution, large part of our heavy lifting in terms of distribution was done over the last two years to three years.

Now the store expansion has to be also looked at in conjunction with aging of cohorts and revenue productivity. So, I think it is a balance and that is what I would like to leave it there. Beyond '26, we do not want to really guide a number.

Harish Advani: Okay. Thanks. I will come back in the queue for future follow-ups.

Moderator: Thank you. Our next question comes from the line of Harsh Shah from Bandhan Asset Management. Please go ahead.

Harsh Shah: Yes. Hi. Good evening, Rumit and Gaurav. Rumit, just a bookkeeping question here. Since we were discussing the fixed cost and the leverage with the fixed cost which we have, could you basically for, let us say, FY25 and 1H FY26, could you split the fixed cost for us, let us say, one at the corporate level and second lying at the store level?

Rumit Dugar: See, Harsh, we have not detailed out a break up. But the way to think about this is model all the cost up till contribution margin as sort of variable. So, and the contribution margin is largely fixed. Bulk of the cost outside of the store is actually sitting in A&P.

Harsh Shah: But Rumit, even at store level, I mean, there is some degree of leverage which you would get, right? Because again, there, ...

Rumit Dugar: No. That is what I said, Harsh, that everything below the contribution margin, right, all cost structure below the contribution margin is largely fixed and dominated between store and A&P. So, between store and A&P, I would say, is bulk of the cost. So, everything below that, as I said, is fixed, below contribution, dominated by store and A&P. So, corporate is not significant for us.

Harsh Shah: But what would that number be, corporate, let us say, fixed cost for FY25 and 1H FY26?

Rumit Dugar: So, as I said, we do not break up the P&L.

Harsh Shah: Okay. But if you could give us the, let us say, store level EBITDA blended basis, even that would be helpful, if that is possible.

11

Q2FY26 |Earnings Call Transcript

Rumit Dugar: Okay, let me give you a way for you to calculate it, right? I think if you look at our DRHP and RHP, we have given actually the cost structure at a store level, which is about Rs. 1 crore OpEx at a per store level per annum, which includes the employee cost, the rent and the facility, and you know the A&P.

So, broadly, you know the direct cost at the store level, you know the A&P. So, you can actually try and back calculate all the cost which is sitting outside the direct store and A&P. That will give you a number on how much is store, how much is the A&P and how much is outside the direct cost of stores.

Harsh Shah: Got it. And let us say for this, linking the previous participant's question, I add for the store cohort, which are, say, three years - four year and older stores, what would be the buyer growth there in those mature, let us say, in those mature kind of stores?

Gaurav Singh Kushwaha: So, SSSG for those is also more or less on the same line.

Harsh Shah: See, SSSG would, also have an element of whatever inflationary prices in gold which we have seen, right, Gaurav. I am talking about, let us say, if you measure the buyer growth, let us say, for that particular store, if that number is handy with you, what would

d that be?

Rumit Dugar: Harsh, we do not have that number handy. But I think if you look at our overall customer growth, right, we have grown our customer base to about more than 858,000, right, and even sequentially, the numbers have grown. So, this is both driven by existing cohorts and older cohorts.

However, some of the older cohorts are much smaller in size, right, in terms of square footage, etc. And that pool is quite small, right, in terms of both quantum. So, we do not have the exact number, but I think you look at the broader customer growth, I think has been quite robust.

Harsh Shah: So, what is that number mean? What is that number mean? The overall customer base for us? Let us say, if you were to look at YoY buyer growth, let us say, right, including all the stores, right, what would that number be? I mean, let us keep aside the three years - four years old cohort, the mature store, but let us say, if you were to compare 2Q--

Rumit Dugar: Yes, Harsh, you can actually look at some of the data and disclosures that we gave, right. We have given the full trend of AOVs. You have the absolute customer number, and then you can calculate the incremental customer, and with AOVs, you can actually calculate it.

Gaurav Singh Kushwaha: With AOV and overall growth, you can calculate buyer growth.

12

Q2FY26 | Earnings Call Transcript

Harsh Shah: Okay, thank you. Thank you, Gaurav and Rumit.

Moderator: Thank you. We have our next question from the line of Alok Shah from 360 One Asset Management. Please go ahead.

Alok Shah: Hi. Good evening, Gaurav and Rumit. My first question was, I do not have a history of those whole quarterly numbers as to how typically first half versus second half is. But broadly, second half is heavy in this industry. I just want to check within that or broadly, historically, how 3Q is as the percent of overall sales or just some guidance on that? And typically, how does the studied mix kind of change vis-à-vis the first half broadly, I mean, historically, if you can give that sense. That is number one.

Gaurav Singh Kushwaha: Alok, hi. Gaurav this side. We cannot disclose anything that we have not disclosed anything so far in terms of numbers. And like I said, as a management, we are very particular that we do not give out any guidance. But if you look at last year's number, Q1 and Q2 is already out and we have full year numbers also. Q4 is also there.

Alok Shah: Sure, fair. The second was on the specific operating leverage bit. So, I was just trying to calculate that YoY we have increased sales by about on an absolute number about Rs. 140-odd crore. And if I were to look at the contribution margin that the company would have made on that Rs. 140-odd crore, assuming a contribution margin ex-inventory gain, maybe about 31% - 31.5%.

So, the contribution margin works out to be about Rs. 45 crore or thereabouts. And our pre-IndAS swing ex of inventory gain is roughly the same amount. So, in terms of your ad spend, employee cost and other overhead, is it that this quarter we have seen not a significant benefit of operating leverage or what am I missing here?

Rumit Dugar: I think we have added a significant amount of stores also. Despite that, if you see, last year on the cost base, we had almost 233 stores in that cost base. And of that 233 stores, a lot of stores were opened or were aged 12 months to 18 months. So, all that is kind of beginning to flow through. And if you look at, actually, bulk of the growth that has come from the older cohorts flows incrementally straight into the pre-IndAS EBITDA.

Gaurav Singh Kushwaha: Also, last year, same quarter, it was pre-IndAS EBITDA was -20, which now is positive 16. So, there is a swing of Rs. 36 crore there.

Alok Shah: Yes. So, on a potentially contribution margin increase of about Rs. 45 crores. So, that is why I was just trying to check that the swing of Rs. 36 crores. So, if at all there is some one-off or some higher cost?

Rumit Dugar: No, there is no one-off. T

here is just operating leverage. Because, for example, if you look at A&P, A&P as a percentage is down. Because the repeat business is also growing.

13

Q2FY26 | Earnings Call Transcript

If you look at share or contribution of revenue coming from repeat customers that has grown significantly. So, there is no one-off. It is just operating leverage that is playing out both at the store level as well as at the A&P and corporate cost.

Gaurav Singh Kushwaha: Yes. So, when we started, when we started the question, you said Rs. 140 crores of absolute revenue increase compared to last quarter and 31% of that is approximately Rs. 45 crores. And I am saying out of that Rs. 45 crore, almost Rs. 36 crore has grown into pre-IndAS EBITDA and Rs. 9 crore would have been here and there basically, some marginal incremental cost going to new store openings and so on. But bulk of it, almost 80% of it has grown into pre-IndAS EBITDA.

Alok Shah: Perfect. So, that is what I was trying to get at. So, roughly, as Rumi also mentioned that this is something which kind of going ahead should also kind of continue and improve from here on.

Gaurav Singh Kushwaha: Correct.

Alok Shah: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Kashyap Mehta from WhiteOak Alpha. Please go ahead.

Kashyap Mehta: So, my question was regarding the inventory section. Will you be able to give me a specific bifurcation that what part was from gold and from gemstones and diamond, etc.?

Rumi Dugar: So, we do not break that up from a cost composition perspective. But predominantly, if you look at the margin structure of our business, studded is obviously significantly higher margin than plain gold. So, at a carrying cost level, it is predominantly gold followed by diamond.

Kashyap Mehta: The follow up question was that there is an increase in the inventory, one of the peers said Rs. 220 crores. So, the thing was, the high figure, is it due to the higher price or the increase in quantity?

Rumi Dugar: So, it is a combination of multiple things. As I had mentioned, one is that there are new stores that have opened, right. So, obviously, there is inventory that needs to be allocated to the new stores, the 19 new stores that opened. Second is there is also the whole mark-to-market on the gold price. And third is the festive, because this time the festival was earlier. So, obviously, you need to bring in a higher level of inventory. So, it is a combination of all these three things.

14

Q2FY26 | Earnings Call Transcript

Kashyap Mehta: So, last question. So, I just wanted to know that in the coming quarters, the company is trying to increase its EBITDA margin or will it be regard in the mid-single-digits itself for H2?

Rumi Dugar: See, as I had explained earlier, there were a couple of questions that we addressed in this context. Ours is a fixed cost business, one. Second is, there is a fair amount of seasonality in this sector and in this industry, with second half being significantly better than the first half, in terms of revenues, etc.

So, when you have incremental revenues and seasonality playing out on a fixed cost base, obviously, there is significant amount of operating leverage, which comes in. And you can see, we were explaining in the previous question, that 37.4% growth last year has seen a significant improvement in the overall EBITDA performance. So, if you look at our Q2 pre-IndAS EBITDA margins, they are significantly better, which is at 3.1% versus -5.1%.

So, that kind of demonstrates that operating leverage and the revenue base keeps expanding, the cost base will not expand at the same pace.

Kashyap Mehta: Okay, thank you so much for attending my question.

Moderator: Thank you. Our next question comes from the line of Shirish Pardeshi from Motilal Oswal. Please go ahead.

Shirish Pardeshi: Hi, Gaurav, Rumi. Thanks for the opportunity. On slide #25, you have given some numbers. So, I am just asking a simple question. If I look at 8,6

0,000, the customer

count and minus 6,60,000. So, 2,00,000 number which we get as a difference is purely a new customer base what you have got or something else is there?

Gaurav Singh Kushwaha: That is correct. This is the addition that has accrued through the year.

Shirish Pardeshi: Okay. So, I would assume that these are the new customers. So, that growth number is 23%, which I calculated. Is it correct? Is that understanding is correct or something else is there?

Gaurav Singh Kushwaha: So, this is 8,58,000 over 6,57,000.

Shirish Pardeshi: Yes. So, the difference what you get is the new customer base. Is that correct understanding?

Gaurav Singh Kushwaha: That is right. The difference is the new customer. So, I think the difference over the base that you are saying is 23%.

15

Q2FY26 | Earnings Call Transcript

Shirish Pardeshi: Okay. The second what you mentioned is that the 50% - 51% contribution is coming from the repeat revenue. So, I was more curious if the AOV is 60,000, what is the repeat customer ticket size? Is it significantly higher or lower?

Gaurav Singh Kushwaha: See, typically what happens Shirish is as people get more comfortable with the brand, with the platform and with our products, they typically tend to shop more and higher value. They are kind of more confident. And hence, end up buying a higher value items also with us. It is like I think many, many categories where you actually try things out

first with a lower price point products with a lower cost of error.

And once you are comfortable, once you are confident of the brand, you kind of end up buying more and higher value also with that. So, that is a behavior that we also see with our user base

Shirish Pardeshi: Okay. So, I understand Gaurav what you are saying, but I am just asking what that number is? Is it significantly higher, maybe 10% - 15% or?

Gaurav Singh Kushwaha: Yes, but we have not quantified that number. We have not quantified those or rather we have not we have not declared that number.

Shirish Pardeshi: Okay. My second and last question on the new buyer, what you have mentioned, what is the ticket size which you are seeing in last, maybe two months or maybe last one month? Because I would assume that...

Gaurav Singh Kushwaha: Shirish, so, basically overall AOV is something that we have declared and we continue to declare in our quarterly results. I think that number broken up by new user and repeat user is not something that we intend to declare.

Shirish Pardeshi: Okay. All right. Thank you and all the best.

Moderator: Thank you. Our next question comes from the line of Gopal Nawandhar from SBI Life. Please go ahead.

Gopal Nawandhar: Thanks a lot. So, Rumi, I just wanted to understand that this inventory gain calculation, how does it happen? Because when I see the inventory is around Rs. 1,800 crore and whatever MTM if we want to take, the gain should have been higher, but just we want to hear from you, how do you calculate this inventory gain in the P&L?

Rumi Dugar: So, see, there are multiple things that happen. So, one is that there is hedging that is already there in the P&L. Second is, what is the percentage of the short positions that we have? What is the percentage of GML? And after putting all of this, then when you calculate the COGS, you get a implied carrying cost of the COGS. And then you have the realization at the revenue level.

16

Q2FY26 | Earnings Call Transcript

So, at what price per gram have you realized the COGS at? And what is the price per gram that you realize the revenue at? So, that delta is effectively the inventory gain. Had you been doing just in time kind of buying and selling at the same spot, you are at a COGS level purely on the metal, you would have the same realization and the same COGS.

Gopal Nawandhar: So, this is only on, so this gain is calculated only on the sales during the quarter, right? It is not on the....

Rumi Dugar: This is what is flowing in.

Gaurav Singh Kushwaha: Yes. So, IndAS account

ting does not allow MTM on inventory lines. It is only on the sales or based on the performance.

Gopal Nawandhar: Okay. And in terms of hedging and GML, can you share what is that number out of this Rs. 1,800 crores inventory, how much is hedged, how much is open?

Rumi Dugar: So, see, we do not give the exact number in terms of what is the quantity and also to give you a flavor that inventory contains, I mean, materials other than gold also, there is diamond, platinum, alloys, etc. But I think, safe to say that I think we have, in our previous conversations, we have committed or communicated rather that we will be in that 50% kind of territory. Broadly, we stay in that range.

Depending on the volatility, etc., we do take some model-based movements. But a broader trend line, I would say, over a medium term is in that 50% kind of territory.

Gopal Nawandhar: Okay. Then the last bit on, there is a sequential increase in the ad spends. Should we consider this should be the peak ad spends for a quarter?

Rumi Dugar: So, I would say that the two drivers which drove a higher A&P as a percentage of revenue is one, the early festive and second is the whole significant adoption of the Big Gold Upgrade program. So, now, as you get into Q3, the revenue base is going to be significantly higher, because you have that commodity, etc., that plays out. So, as a percentage, obviously, that will shift or that will have an impact.

And second is there is also this whole Big Gold Upgrade Exchange, which is kind of being moderated at the end of September. So, that should have...

Gopal Nawandhar: One more thing, in case of CaratLane, we have seen sequential improvement in the margin, whereas in our case, it is the other way around.

Rumi Dugar: So, if you look at it, I think bulk of it is the movement in the pre-IndAS EBITDA margin is largely driven by A&P in our case. And our Big Gold Upgrade program was

17

Q2FY26 | Earnings Call Transcript

significantly better than any other player in our market. I mean, that is been the case since we launched. So, actually, if you look at the delta, it is largely explained by the delta and A&P.

Rumit Dugar: Yes. And lastly, we also had a higher count of store opening. I think we opened 19 stores in the quarter.

Gopal Nawandhar: Yes. They (CaratLane) opened 10, yes. Sure.

Moderator: Thank you. Our next question comes from the line of Charchit Maloo from Genuity Capital. Please go ahead

Charchit Maloo: Yes. Hi. Actually, can you share the revenue contribution from your studded jewellery and the other gold purchases for Q2 and what will be this mix going forward in coming quarters and for FY26?

Rumit Dugar: So, for Q2 it was 62% share of studded. I think forward number very difficult to guide. I mean, principally, we do not guide and this one is anyways very difficult because it is driven by customer adoption. So, I would refrain...

Charchit Maloo: And so, what kind of margin do we have in both the segments?

Rumit Dugar: So, I mean, again, this is something that we do not break down, but you can look at our blended margins are significantly higher. So, you can actually compare the margins of a plain gold commodity player and look at our margins. I think the delta is the function of how much price premium we also charge on plain gold plus the margins on studded. So, studded margins are obviously significantly higher than plain gold.

Charchit Maloo: Can you quantify that?

Rumit Dugar: No, we do not break the margins by category of plain gold and studded.

Harsh Shah: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the call over to the management for closing comments. Over to you, sir.

Rumit Dugar: Thank you, everyone. Thank you for taking the time today to do this call. Look forward to interacting with you all next quarter. Thank you.

18

Q2FY26 | Earnings Call Transcript

Moderator: Thank you. On behalf of BlueStone Jewellery

and Lifestyle Limited, that concludes this

conference. Thank you all for joining us and you may now disconnect your lines. Thank you.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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Call: Jan 2026

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[Formerly Known as BlueStone Jewellery and Lifestyle Private Limited]

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Contact No : 080 4514 6904

January 29, 2026

To,

BSE Ltd.

Listing Department,

P. J. Towers, Dalal Street,

Mumbai – 400 001.

(Scrip Code: Equity - 544484), National Stock Exchange of India Ltd.

Exchange Plaza,

Bandra-Kurla Complex,

Bandra (E), Mumbai – 400 051.

(Symbol: BLUESTONE, Series EQ)

Dear Sirs/ Madam,

Sub.: – Q3 FY26 Earnings Call Transcript.

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call held on January 22, 2026 for Q3 FY 2025-26 has been available on the website of the Company's website at

www.bluestone.com under Investors Relations->

Investor updates -> 2025-2026-> Q3.

Link : <https://kincling1.bluestone.com/static/ir/msf/files/iu/BlueStone-Q3FY26-Earnings-call-transcript.pdf>

Kindly take the above on your record.

Thanking you,

Your Sincerely,

For Bluestone Jewellery and Lifestyle Limited

(Formerly known as Bluestone Jewellery and Lifestyle Private Limited)

Gaurav Singh Kushwaha

Managing Director DIN: 01674879

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BlueStone Jewellery and Lifestyle Limited

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2

Q3FY26 | Earnings Call Transcript

Moderator:

Ladies and gentlemen, good evening, and welcome to the BlueStone Jewellery & Lifestyle Limited Q3 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen

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only mode

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nd there will be an

opportunity for you to ask questions after the presentation concludes.

Should you

need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch

-

tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Diwakar Pingle. Thank you, and over to you, sir.

Diwakar Pingle:

Thank you very much, Swapnali. Good evening to all participants on this call. Welcome to the Q3 and

9M

FY '26 earnings call of BlueStone Jewellery.

Before we proceed in this call, let me remind you that the discussion may contain forward

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looking statements that may involve known and unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could caus

e future result performance, or achievement to differ significantly from what is expressed or implied in such forward

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looking statements. Please note

that we have mailed the results and the same is available on the exchange. In case you have not received

the same, you can write to us, and we

will

be happy to send the same

over to you.

To take us through the results and answer your questions today, we have the management of BlueStone

Jewellery & Lifestyle

Limited, represented by Mr. Gaurav

Singh Kushwaha

-

Founder and Managing Director, Chief Executive Officer; and Mr.

Rumit Dugar

-

Chief Financial Officer. We will start the call with a brief overview of the quarter gone past and then conduct the Q&A session.

With that said, I
will
hand over the call to Gaurav. Over to you, Gaurav.
Gaurav Singh Kushwaha:
Good evening, everyone
. A
nd thank you for joining us today for BlueStone's
third
q
uarter
Earnings Call
.

I am pleased to share that we have had yet another stellar quarter, marking an important milestone for the company.
We delivered our first quarter of reported net profit, a clear inflection point in the evolution of our business model. This was driven by good revenue momentum and a very solid operating EBITDA performance. This is not just about one quarter
, it reflects years of disciplined execution and structural investment we had made to build a scalable business, prioritizing long term value creation. What gives us confidence is that this profitability has come alongside strong underlying growth trends. And as we look ahead, we see revenue momentum accelerating into Q4.

3

Q3FY26 | Earnings Call Transcript

Further details on the financial performance will be covered by Runit in his remarks. Let me spend a few minutes on the broader demand environment.

The sharp rise in gold prices significantly altered the industry's demand mix last quarter. We saw the market shift towards commodity and investment

-
led categories
such as coins and
chains, which are typically price

-
led lower margin segments. Now,
these are the categories where we have historically chosen not to participate aggressively, given our
"Technology

-
Led Product

-
First"
approach that focuses on
design differentiation and stronger gross margins.

Our performance is better understood by looking at consumer product demand. Here, trends remain encouraging despite sharp gold prices.

Festive demand in October was
strong, moderated in November, and then rebounded sharply in December. From our perspective, one of the impacts of ris
e

in gold prices was that the certain entry

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level
price points got vacated. In response, we repopulated these price points and we saw the result of some of that in December, with December exit revenues growing

approximately 35%

year

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on

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year.

A key enabler for this performance continues to be our omni

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channel strategy, which

seamlessly connects our online presence with a steadily expanding physical retail footprint. This integration allows us to engage customers across discovery, purchase, and repeat cycles, while leveraging data and inventory more efficiently across

channels. As of December

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end, we had 323 stores across 130 cities, having added 12

new stores during the quarter, further strengthening our reach and brand presence.

Our customer b

ase grew 25% year

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on

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year to 903,000 customers and same store sale

growth of 12% year

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on

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year. Again, I would like to reemphasize that December same

-

store

-

sale

s

-

growth exit rates were in mid

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teens, with January trending better than

December.

Let me now turn to one of the critical drivers of our long

-

term growth and margins,

which is the strong cohort performance. We have been confident that all our cohorts will demonstrate productivity that was seen by FY '19 and FY '20 cohorts. To give you

mo

re color, we are happy to share some more details on the cohorts from various stages.

So, for nine months, or YTD, stores opened in FY '19

-

'20 delivered revenue per store per month of approximately

Rs.

1.2 crores. Stores opened in FY '21

-

'22 delivered a per store

per month revenue of approximately

Rs.

80 lakhs, and stores opened in FY '23

delivered per store per month revenues of approximately

Rs.

70 lakhs for first nine

months of the year. This translates into annualized revenues of

Rs.

14 crores,
Rs.
10
crores and
Rs.
8.3 crores, respectively. These cohorts comprise of more than 150 stores.
S.

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Q3FY26 | Earnings Call Transcript

And as mentioned, all these cohorts are growing at a pretty healthy clip, and we expect all the remaining cohorts to also eventually catch up with FY '19

-
'20 cohorts.

With that, I
will
ask Runit to share his opening remarks, and then we can open the
floor to the Q&A.

Runit Dugar:

Thank you, Gaurav. Good evening, everyone, and thank you for joining us today. I
will

briefly walk you through the financial performance for this quarter. I

will

keep my

remarks brief as we have detailed disclosures and materials available on the stock
exchanges. I would encourage you to go through our management commentary and
the investor presentation, which have lot of detailed disclosures.

Turning to the quarter

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uring the quarter, standalone revenues grew by 27.4% year

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on

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year to

Rs.

748 crores.

As mentioned earlier in our call, our revenues are accounted for on retail sales basis,
including franchisee stores. This means our reported growth reflects pure secondary
sales to consumers, even for franchisee stores, offering a clean and tra
nsparent view
of demand at the retail consumer level.

Excluding inventory gains, pre

-

IndAS EBITDA margins for the quarter stood at a solid

12.1% at

Rs.

90.3 crores, driven by robust contribution margin performance, greater
number of store cohorts moving in better productivity buckets

,

and scale benefits on

corporate costs, including A&P. More importantly, on a YTD basis, we are at

Rs.

129.6

crores of pre

-

IndAS EBITDA versus

Rs.

7.4 crores last year YTD. This reflects a margin

of 7.4% YTD as compared to less than 1% in same period last year. This clearly demonstrates that the operating leverage is starting to reflect in EBITDA margins and growth. There is still a fair runway to expand this further, driven by cohort maturities and business scale.

As Gaurav highlighted earlier, this was our first quarter of reported PAT of Rs.

71.5

crores as compared to a loss of

Rs.

26.9 crores in the same quarter last year.

Importantly, the business generated a solid cash profit of about

Rs.

122 crores for the

quarter. Contribution margin, which is a key product margin metric th

at we look at,

excluding inventory gain, stood at 33.3%, an improvement of 333 basis points year

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on

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year. This is despite lower studded mix on a Y

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o

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Y basis of 61%. Thi

s was offset by scale

benefits, improved product mix within studded products, and manufacturing efficiencies.

A&P spends continue

d

to show operating leverage, supported by business scale and

high repeat mix, with repeats contributing 57.8% of revenues this quarter. Our old gold

exchange program continued to remain most competitive in the market. Overall, A&P

5

Q3FY26 | Earnings Call Transcript

as a percentage of sales stood at 5.7% for the quarter, down about 129 basis points year

-

on

-

year.

To conclude, this quarter clearly demonstrates the operating leverage embedded in our model. There is potential room to expand EBITDA significantly ahead of revenues, and with the cost discipline with which we are scaling the business.

With that, we can open the floor for questions.

Moderator:

Thank you very much. We will now begin the question

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and

-

answer session. The first

question is from the line of Percy

Panthaki

from IIFL. Please go ahead.

Percy Panthaki:

Hi, team. Just wanted to understand the margin here. So, on a sequential basis, the margins excluding inventory gain pre

-

IndAS have gone up from about 3% to 12%

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O

that's a 900 basis points kind of expansion sequentially. I understand that the contribution margin, ex

-

inventory gain, has gone up about 150 basis points, and there is some saving in ad spend maybe approximately about 300 basis points. So, that explains about half of that 900 basis points. What is the remaining half? Where has the margin expansion come from?

Rumit Dugar

:

So, Percy, I think in the last quarter also we explained

,

what truly happens is you have to look at how the aggregate cost base kind of moves. So, if you look at between Q3 and Q2, Q2 revenue was

Rs.

513 crores and Q3 revenue was

Rs.

748 crores. So, for that incremental revenue that we added sequentially, our aggregate cost base, including everything

-

e

employee cost, store rents, store facility maintenance costs do not shift significantly on a quarter

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on

-

quarter basis. So, this is the foundational operating leverage that is inbuilt in our business.

And as more store cohort productivity expands, the fixed cost base remains reasonably stagnant or grows at a modest pace while your incremental revenue will flow through to EBITDA at the rate of contribution margin.

So that

i

s really the flow through. And if you do the delta between incremental revenue that we added at the contribution level, you will

pretty much get to the operating leverage and the outcomes that we have delivered.

Percy Panthaki:

Understood. So, just for me to get a sense of the operating leverage in Q3 and therefore actually try and project annualized numbers

,

because this is clearly a big quarter and there is a huge operating leverage.

The question I wanted to ask you is that

,

on account of normal seasonality, the monthly sale in Q3 is approximately what percentage higher compared to average for the year? I

am

not talking about this year or anything

,

I

am

just talking as a concept or in principle. Q3 typically the monthly sale is how much percentage higher than annual average

?

If you can tell me that, it will help in calculating the operating leverage impact for full year. Or rather what I want to say is

6

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that at just this 12% margin on a Q3 basis, how much would it normalize work out to a annualized basis given the different sales throughput for the quarter versus the year?

Gaurav Singh Kushwaha:

Percy

,
Gaurav this side. S

ee

, depending on how the operating revenue moves between quarters, I think that percentage changes drastically, as we saw between Q1, Q2 and Q3 also, where Q

3 is at around 12%. Now, last year, Q4 was around

Rs.

460 crores and what

we are seeing right now

,
we are trending at almost 35% growth over the last Q4. And

let's say

if

that continues, this Q4 will land somewhere between

Rs.

620 crores to

Rs.

630 crores. I

am

just telling you how to look at it.

Now, if you do the same calculation

here also

;

on

Rs.

748 c

rores we had

Rs.

90 crores of pre

-

IndAS EBITDA,

then

with those

numbers Q4 would be approximately, let's say,

Rs.

120 crores lesser than Q3

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he

revenues

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So, revenue for Q4 would be approximately

Rs.

120 crores lesser than Q3.

And 33% of that, of

Rs.

120 crores would be approximately

Rs.

40

-

42

crores

.
So, Q4
EBITDA hence should be, let's say, lesser by that much. And then that should serve the base for the subsequent Q1

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And that's
how
we calculate
it, as
in
the
back of the
envelope calculation, that
i

s how we do.
Percy Panthaki:
Okay

, u
nderstood. I
will
probably take this offline because I think it
i
s a little more
complex than that, because we
will
have to look at it on a per
-
store basis also, because
as the number of stores are getting added, the cost base would also increase to that
extent. But anyways, I
will
take that offline.

A
Iso I wanted to understand one more thing that
,
you said that there were some entry
price points which were unaffordable and therefore, I mean, the product merchandise
this quarter was very less at the entry price points. Is that also a factor? Because those
entry price points may be at sort of lower m
argin

, s
o is that like a factor which is
driving the margins to an extent
? A

nd because you are repopulating those price
points, will that versus this quarter again see a margin drag?

Gaurav Singh Kushwaha:

Yes. Percy, so in our data we
do not
see that. It's not that, let's say, sub

Rs.

20,000 or sub

Rs.

30,000 product have lower gross margins or lower contribution margins, that kind
of a trend is not there in the data. So, there

i
s no implication of that. The only
implication of those price points being
vacated

was that, see

generally

traditionally or

historically we have been very strong on entry level price points, which is where we
acquire a lot of customers and then kind of grow with them over time.

With those price points being vacated, we believe that our growth suffered in November and, let's say, first one week of December.

W

e started work on that, let's say, early in the November, and then it took some time for us. So, I think our growth got impacted because of that. But in terms of percentage shift in the gross margins or contribution margin, that is not a trend that we have in our data.

7

Q3FY26 | Earnings Call Transcript

Percy Panthaki:

Understood. And lastly, if you can give some idea on how do you look at store additions on an annual basis this year as well as next year.

Rumit Dugar:

So, this year, I think we will be in that 65, 70 kind of range, right? We closed at 323 stores, so Y

-

o

-

Y in that 70

kind of handle versus March '25. I think next year we will

come back

to you once we finish this year. So, when we discuss Q4 is when we can give you better color in terms of how we are looking at next year.

Percy Panthaki:

Okay. Yes, that's it from me. Thank you.

Moderator:

Thank you. The next question is from the line of Devanshu Bansal from Emkay Global.

Please go ahead.

Devanshu Bansal:

Hi Gaurav, thanks for taking my question. So, I just wanted to delve deeper on the growth front. So, it is a tad lower versus that reported by peers in both the traditional jewelry space as well as the space that you operate in. Even when you say that this is

the kind of number

,

that also is materially below what the others have reported, right?

So, can you sort of give us more granular explanation as in what exactl

y led to a slower

growth for us

?

Gaurav Singh Kushwaha:

Sure.

O

kay, so first of all, very different operating environment this last quarter was compared to how things generally are

,

with gold being that volatile and it's the most

volatile territory that I have seen the gold in.

S

o basically two things. So what that

results in, that actually increases the demand for commodity products like gold coins,

gold chains with very little margin and gold bangles with very low margin

etc

.

And that

is where a sharp increase in that demand comes from, and almost all the traditional

jewelers are heavily indexed on those

, and

whereas we are extremely under

-

indexed

on all those products.

Secondly, almost all the jewelers report primary sales, whereas we only report retail sales.

W

hether that is traditional jewelers, whether that is CaratLane, whosoever is, it's a mix of primary and secondary sales. So, there is generally delta between that and the retail sales also. So, these are the two major differences, and then that merchandising

issue that we noticed in our inventory somewhere in end of October and early November. And I think these are the three reasons why the growth numbers are lower,

r,

but we see that as a one

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off. I think in stable environment things will revert back to normalcy. And also, in our December exit rate and our January rate, so basically on our continuing run rate we see almost 35% of growth

,

that keeps us happy

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hat

i

s good

enough for us

.

Devanshu Bansal:

Fair enough.

B

ut however, still CaratLane reported almost 40% growth, so there may not be such a material difference between primary and secondary. But I take your

8

Q3FY26 | Earnings Call Transcript

point that at least the growth has sort of improved for you in December and subsequently in Q4 as well.

Rumit Dugar:

So, Devanshu, just on the first bit that it is not materially different. I think if you look at last quarter, their reported revenue growth was 32% and retail sales was 25%. So, it is really

different, at least historically. So, maybe I think you should just see what the retail sales numbers are.

Devanshu Bansal:

Fair enough, Rumit. So, thanks for the clarification. The other part was on the LGD space, so we

see

incremental investments across players and we have also sort of increased our investment in materials. So, any incremental views on this space in terms of how we are sort of planning to ramp up our presence would be helpful.

Gaurav Singh Kushwaha

:

Yes. So, very early days for

lab grown

. We are seeing some good traction in lab

-

grown

brand Ethereal. They have very few stores

,

and it

i

s kind of a discovery phase and it seems to be doing well. And hence we have decided to put in some more money.

A
nd
like I said, it
i

s a very early stage for that product segment per se. So, I think we will have to see, we will have to observe how it evolves and then take a firm opinion on that.

Devanshu Bansal:

Gaurav, any assortment or difference that you can help us better understand in terms of how Ethereal is sort of playing this space versus how BlueStone is playing ? A
nd also

,
any customer segmentation that you can help us better understand
, i
s it the same
customer being targeted by both BlueStone and Ethereal, or they are
entirely separate
consumer segments that are being targeted by both the brands?

Gaurav Singh Kushwaha:

Yes.

O
kay, so the way it is being run is

,
so Ethereal, which is our subsidiary, we have
74% holding in that, but rest of the equity
y
is with the founders

,
Nitesh and Sharad. So,
we generally have a very low

-
touch approach, in the sense we encourage them to
discover their own products, we encourage them to discover their own customers and
so on. So, there

i
s not too much of an operational overlap between BlueStone and
Ethereal.

I mean,
they
have

been in the business for around five, six months

, a
nd I think
they are also discovering what kind of products work for them, what kind of products
do not work for them.

W
e have not started with a very strong point of view that, okay, these are the products
that are exactly going to work in lab

-
grown

,
it
i
s very, very early days for that So, they
are also doing their own discovery. So, it

i
s kind of a founder
-
led company where we
have 74% holding and Nitesh and Sharad run it. So, I honestly do not have a very strong
point of view on what kind of products should work for them. It
i
s their job to figure it
out.
Devanshu Bansal:
Thanks, Gaurav. Thanks for taking my question.

9

Q3FY26 | Earnings Call Transcript

Moderator:

Thank you. The next question is from the line of Saurabh Jain from HDFC Life Insurance. Please go ahead.

Saurabh Jain:

Hi Gaurav and Runit. Just wanted to understand
if I look at the Y

-

o

-

Y expense line item,
so other expenses, ex of A&P, that have gone down by
Rs.

11 crores. So, what explains
that?

Runit Dugar

:

That is primarily driven by our improvement in contribution margins. So, on the
manufacturing scale and efficiencies, we had

a

couple of new factories which had
come up. So, as they build process efficienc
ies

through time, and as our scale is
growing the capacity utilizations or manned capacity utilizations keep expanding,
there is that operating leverage that flows through on the direct cost.

Saurabh Jain:

No, I am talking about the absolute number

, s

o absolute number has actually gone
down

.

Runit Dugar

:

Yes, Saurabh

,

I

am
talking about absolute numbers itself. So, if the productivity at a
factory level is X, which is a new factory

; o

ver time, as people build more process
efficiency, the amount of people, time, material
etc.

that you need to spend on, that
goes down. So, there is that absolute operating leverage that comes because you
are
pushing up manned capacity utilization.
So, there is that factory

-
related cost that sits
in
O
ther
E
xpenses, which is contract laborers, job workers,
etc
. So, there is a fair
amount of operating leverage that comes from there, even on an absolute cost basis.

Saurabh Jain:

Sorry to push this further. So, I
am
just saying that if the units have gone up in the
manufacturing facility, I understand the per

-
unit cost might come down because of
the utilization increasing. But how can the absolute cost come down

,
I
am
not able to
understand that part
?

Rumit Dugar

:
Because,
your manned productivity, if you needed 20 people to create a piece

,
because
the process efficiency, scale,
etc.
are not there, now you need lower number of people
to do the same task. So, the absolute cost, Saurabh, actually comes down.

Second is,
we
have
also done some consolidation in terms of building scale, right? We operate
three factories

, S
o there is some redistribution of the products,
etc.
, that can get
manufactured, so we can build more competence in single factories where the
productivity that
we get for the same throughput continues to expand. So, there is
some part of that on the manufacturing side that happens.

Saurabh Jain:

Okay, fine. Second thing is on the A&P expenses side, so what is the range we should
expect for like full year going forward? This year we have closed nine months at about
7% which is
materially lower,
about 300 basis points lower than the last nine months
of FY '25. So, what is the number that we should build in here? Like the absolute

10

Q3FY26 | Earnings Call Transcript

number at about

Rs.

40 crores,

Rs.

45 crores, is that the run rate we should build i

n
on
a quarterly basis going forward?
Gaurav Singh Kushwaha
:
So, as we were expanding stores rapidly, we firmly believe that there's significant operating leverage sitting on the A&
amp;P also
,
because the same advertising, same promotion spent
d
. Now we have more stores to actually tap into the demand being generated by that
.
So, I think historically it was 12%, 9% and so on
, a
nd we expected it to
come down to around 6%. At 6%, we
will
be scaling it very proportionally with the
revenues. So, I think YTD is 6.8%, but since these are early stages for the brand also
,
we
would
like to keep it, kind of pegged at around 6% going forward.
Saurabh Jain:
Okay, thank you.
Moderator:
Thank you. The next question is from the line of
Tejash Shah
from Avendus Spark
Institutional Equities. Please go ahead.
Tejash Shah:
Hi, thanks for the opportunity. Just wanted to know what was the revenue per square feet that we clocked this quarter, and what was that number last year same quarter
?
Rumit Dugar:
I think the metric that we look at and which we
have
also detailed out in the
management commentary, and Gaurav spoke about in
the
opening remarks, is
revenue productivity per store per month by cohort. So, those are the metrics that we
should look at. Given where our gross margins are and the kind of store productivity
and absolute contributions that we generate, for a
Rs.
10 crores or a
Rs.
14 crores store,
the rent or the OpEx would be like about
Rs.
1 crores
. So, really from a per square feet
basis,
etc.
, it
i
s something that we
do not
track and look at.
Tejash Shah:
So, the reason I ask this is because it
is
partly pertaining to the previous participant's

question that

,
if we do that math, and then you
are
saying that as a company we
do not
follow that

, b
ut if we do that math this quarter looks like more of an excellence coming
from cost discipline than the operating leverage, because that number has
not
moved
much apparently.

And a lot of cost discipline is visible in our production cost and cost
line items below that, which the previous participant also
highlighted. So, just wanted
to know that how to think about this quarter
?

Were you surprised on the productivity
of the store? Or where was this quarter in excellence on cost discipline that we were
kind of promising for a while now?

Rumit Dugar:

I think the way to see this is, what we
have
been always saying is that ours is a fixed
cost model

, w
he
re
there is tremendous amount of operating leverage, which will be
driven by store productivity

. S
o it
i
s not about cost excellence, it is about absolute
operating leverage.

So, I think the way to think about this is

,
quarter

-
on
-

quarter our
cost base has not shifted, right? So, if I was running 300 stores in Q2, I
am
still running
300

-
plus stores in Q3, with the same cost base. But as my revenue
base is expanding,

11

Q3FY26 | Earnings Call Transcript

and if you see our trend for the last four, five, six quarters, that
i

s pure operating
leverage

, Tejash,
that
is
playing out.

It
is
not only just we
have
cut cost or anything like that

.
It's just pure operating leverage,
where there is incremental revenue which has a high flow

-
through rate, given our
gross margin profile and contribution margin profile, which is significantly different
from any other player that you may see in this category.
So, the flow

-
through rates are
way, way higher than you would see in any other player. So, which is why I understand
where you
are
coming from, it surprises because the flow

-
through rates are so high

.
But then you have to compare the difference on the
contribution margin of ours
versus generally the category that people operate with.

Tejash Shah:

Perfect. Thanks a lot, and all the best.

Moderator:

Thank you. The next question is from the line of Sanidhya from Unicorn Assets. Please
go ahead.

Sanidhya:

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ir
, my question is kind of follow up from the previous questions. I think everyone is
confused

d
if
is the operating leverage or cost cut, whatever. So, let me ask you this way.
Suppose, say, gold prices today

Rs.

1.5 lakhs goes to say

Rs.

2 lakhs, so like 33% rise

,
and
like there
our
mix

i
s like 50%, 60% for the gold. So, assuming both the numbers, let's say,
on
an

average our revenue goes up

,
not by the volume, just plain prices like 15%, 20% up.
Do you think that out of that extra 15%, 20%

,
like 33% contr
ibution margin, most of it
would flow down? That's what you
are
saying.

Rumit Dugar:

See, I think the simple point that we are making is that there are 323 stores and the cost base of operating those stores and operating business is sort of already embedded. So, incremental revenue that we are generating has a very high operating leverage and that is predominantly driven by aging

And this quarter, please, I encourage all of you to look at our cohort performances. I think historically we have got feedback that tell us how your other cohorts are kind of doing. And this quarter we have kind of given some color on how our cohorts are doing. And there are unit economics that you can model to those revenue productivity numbers, and that will kind of explain that why there is so much operating leverage in our business.

So, it

i

s

not about just gold price moving from

Rs.

1 lakh to

Rs.

1.50 lakhs or

Rs.

2 lakhs. It is about

how fundamentally our business operating model is structured and where we are in that journey of operating leverage. So, we are still in that early days. And as I mentioned in my

opening remarks, there is still significant room for margins to expand as we continue to build scale in the business.

Sanidhya:

So, secondly, on the contribution margin only, so we have depicted, so since that like old stores you can say, or the mature stores have given like 40% gross margins and 35% kind of contribution margins and 25% kind of adjusted EBITDA. Do you think this

12

Q3FY26 | Earnings Call Transcript

number is the core or do you think there is further room for even this number to expand looking the way things are going in this quarter or you are saying looking forward?

Rumit Dugar:

So I think

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one

,

contribution margins are not impacted by just aging

.

Because

contribution margins are more fundamental to the product mix that we carry, the merchandise we carry and the way we price our products. I think the delta of aging actually shows up more in the operating EBITDA.

So, operating EBITDA for this quarter was 12% on a pre

-

IndAS basis, 7.4% for YTD. And

as I mentioned, there is still runway for the operating margins that we have

seen YTD

to expand further because there is still lot of vintage

-

driven growth. If you look at

,

our

FY '19

-

'20 cohorts are at

Rs.

14 crores revenue productivity

,

and the other cohorts are

at 10, 8, 8.5 or 8.3. So, obviously, there is room for them to scale further, right, at least to

14

,

and that is what we see at the minimum. So, as these continue to ramp up, there will be more operating leverage that will flow through because the cost base of these are not going to expand.

Sanidhya:

And I would request you to please guide like thoroughly on the store expansion

going

forward, because right now the growth looks tremendously coming

,

even the cohort

level looks good

for

like next two years. But beyond that

,

for growth visibility, I would

request you to please share from going forward the expansion model. Thank you.

Moderator:

Thank you. The next question is from the line of Karan Gupta from ACMIL. Please go ahead.

Karan Gupta:

My question is again related to the previous participant on the margin side, operating EBITDA margin side

.

So, on the margin side, how much margins can

we

do when our

most of the stores are aging towards

Rs.

14 crores band annually?

Rumit Dugar:

So, I think the way to thi

nk about it is that at

Rs.

10 crores to

Rs.

12 crores kind of

productivity, the store level pre

-

IndAS margins are at about 22% to 24%. And as Gaurav

mentioned, you load about 6% A&P and then some leverage on the corporate cost.

A

S

broader cohort productivity gets to that

Rs.

10 crores,

Rs.

11 crores kind of numbers, the

baseline margin for the business is going to be in, like, low teens at the minimum

,

with

significant investment continuing on the A&P. So, I think that

i

s sort of where the

trajectory should go to. So, we are at 7.4% YTD, which is why

I mentioned in my

commentary there is significant room and significant runway for expansion.

Karan Gupta:

So, 20% to 24% on pre

-

IndAS basis

?

Rumit Dugar:

That I mentioned at the store level EBITDA, and then we load A&P and corporate cost.

13

Q3FY26 | Earnings Call Transcript

Karan Gupta:

Okay. And how many stores out of 323 are running at

Rs.

10 crores to

Rs.

12 crores or

Rs.

14 crores of run rate

?

Rumit Dugar:

See, I think, we have given a lot of disclosure already on cohort. I

do not

think you see

many companies giving these kind of disclosures. I

do not

think we can go beyond this

because there is a lot of competitive data here. So, I think overall the cohorts are large enough.

Karan Gupta:

Yes, it's 50%

, t

he data

I think you

shared already.

Rumit Dugar:

Yes. So, that's a good enough base for you to draw conclusions on where these cohorts can trend to.

Karan Gupta:

Yes. Thank you very much.

Moderator:

Thank you. The next question is from the line of Subhanu from 3 Head Capital. Please go ahead.

Subhanu:

Yes, thank you. Good evening and congratulation

s

for this kind of modest

performance. Sir, as you mentioned, our store opening guidance for this year around

65 to 70. But if I remember right, last quarter Rumit said hit a target around 75 to 80.

Are you reducing your guidance?

Rumit Dugar

:

No, we were in the 70 kind of handle, and I think we should be broadly in that territory.

I

do not

think there

is

a significant deviation

.

So, maybe the upper end

,

I think, we

will

be in the 70 kind of handle

.

So, plus minus 5, obviously, we have to look at the operating environment and be a little tactical about it.

Subhanu:

Okay. My next question

is,

this quarter is sole PAT

-

positive quarter. This PAT

-

positive

quarter will be sustained for next couple of quarter

s

or this will be sustained?

Rumit Dugar:

See, I think it

i

s hard to give an absolute forward

-

looking statement, but let me try and address that question in a way that

,

I think fundamentally there is enough operating leverage in the business, which has got demonstrated in the past three quarters, particularly you have

seen it in Q3 as well. So, we see still runway for margin improvement versus where we are on YTD

,

and that

i

s where we would like to leave this at.

Subhanu:

Okay. Sir, what kind of SSSG we are targeting?

Rumit Dugar:

So, I think in his commentary, Gaurav had mentioned that December SSSGs were in mid

-

teens and January is trending better than December. So, I would just reiterate that statement that Gaurav had made in answer to that question.

14

Q3FY26 | Earnings Call Transcript

Subhanu:

Okay. Thank you and best of luck.

Moderator:

Thank you. The next question is from the line of Abhay Sakariya from

V C

AN

and

Company. Please go ahead.

Abhay Sakariya:

So, comparing quarter

-

on

-

quarter performance, if you talk about Q3 of '24, there was a loss of around

Rs.
27 crores

and Q3 of '25 there is a PAT of around

Rs.

69 crores. So, the huge difference, it is because of the valuation gain or actual operational or quantity performance

? A

and what will be the valuation gain part

? I

if you can just highlight on

both.

Rumit Dugar:

Yes. So, we

have

disclosed the inventory gain for the quarter, it

is

Rs.

58.9 crores. So,

even if you adjust for that, we have a positive PAT.

Abhay Sakariya:

Okay. And any particular reason, what has been changed in this particular quarter?

Because I have been observing that we have been making losses for quarter

-

on

-

quarter also, even in the Q2, Q1

,

and even in the last year. So, any particular or major

changes which you have made so that we have been positive in this particular quarter?

Rumit Dugar

:

See, it's just the way our business is structured, just the way we have

scaled the

business is very, very different from what you see typically with traditional big box retail, given we are more omni

-

channel driven. So, there is a front

-

loaded cost base

that is sitting in our P&L. And as our stores build vintage, as the broader absolute revenue scales, there is operating leverage that is flowing in both at store level and at corporate costs A&P level.

So, I think that is what is kind of playing out. And as I said, there is still runway to continue to expand.

Abhay Sakariya:

Okay. Thank you, and best wishes to the company.

Moderator:

Thank you. The next question is from the line of Gopal Nawandhar from SBI Life Insurance. Please go ahead.

Gopal Nawandhar:

T

Thank you. Congratulations to the team for good performance on profitability. Two, three things here. One is what is our gross debt and net debt?

Rumit Dugar:

So, gross debt is about

Rs.

650 crores

, n

et debt is about

Rs.

222 crores.

Gopal Nawandhar:

Rs.
222 crores net debt or net cash?
Rumit Dugar:
Yes.
Rs.
222 crores is net debt and
Rs.
650 crores is gross debt.
Gopal Nawandhar:
Okay. And inventory?

15

Q3FY26 | Earnings Call Transcript
Rumit Dugar:
Inventory at the end of the quarter?
Gopal Nawandhar:
Yes.
Rumit Dugar:
Rs.
2,280 crores.
Gopal Nawandhar:
Okay. So, I think if I recollect it right, last quarter we had net cash and lower inventory. This quarter we only added 12 stores, and this matrix is where I think we are kind of not able to optimize. So, can you just throw some more color on inventory, when we can see inventories coming down?
Rumit Dugar:
So, Gopal, bulk of the change in inventory is actually driven by movement in gold price on the hedge positions
.
So, bulk of the change between Q2 and Q3 is coming from mark
-
to
-
market on hedge positions
, s
o it
i
s largely driven by that.
Gopal Nawandhar:
And in terms of network addition, how should one look at next year and the year after?
Rumit Dugar:
So, I think next year, on an absolute basis, maybe after Q4 we will be able to give you a more concrete number. But fundamentally if you see at least our last, two, three year trend, I think we have been in that 70
-
80 kind of handle broadly. So, that's been the historical trend. And at our end, see, there is a large enough distribution that we already have
.
Obviously, there is significant room to continue to expand network. If you compare us to a lot of the peers, and you just map our city presence to, let's say,

the large peer city presence, there is significant growth runway both on city and density. So, from a medium

-

term perspective, there is significant runway to keep expanding the network.

But absolute number, G

opal, I think maybe after Q4 we can

come back to you on what we are looking to do in FY '27.

Gopal Nawandhar:

Sure. And one more thing, considering that this increase in the gold prices, earlier our plan was to reduce FOCO stores and convert them into

C

O

C

O. Considering the kind of

investments it needs for new store, will that plan be delayed or will still consolidate from FOCO to COCO?

Rumit Dugar

:

So, the consolidation is happening from FOCO to COCO, and that I think will continue because that is a very expensive capital structure that we are

running related to what

our cost of capital is. So, that consolidation obviously makes economic sense and is PAT accretive. So, that piece will continue. Gopal, there is no change in that thought process or strategy.

Gopal Nawandhar:

Okay. Sure. Thank you very much.

Rumit Dugar

:

Thank you.

16

Q3FY26 | Earnings Call Transcript

Moderator:

Thank you. The next question is from the line of Devanshu Bansal from Emkay Global.

Please go ahead.

Devanshu Bansal:

Thanks for the follow

-

up opportunity. I wanted to build on Gopal's question. So, you indicated that the mark

-

to

-

market has been built upon the inventory this quarter, can you call out the quantum of that

,

as in what is the MTM loss that has been built into the inventory?

Rumit Dugar:

MTM loss? There

is

no MTM loss. If you are hedged, your inventory gets marked up, right, so that's about it. I mean, I do not

want to call out how much of it is, but you can

actually see how much the gold has moved between September 30th and December

31

st

.

So, it's an easy calculation.

Devanshu Bansal:

Yes. So, basically that means, so when gold price is in an increasing environment, and on your hedge contracts you will be having some losses

, s

o that has built upon the

inventory, the amount which has led to this increase in inventory. Is my understanding correct?

Rumit Dugar:

I mean, it's a mark

-

to

-

market

.

So, if you are borrowing through GML, the value of GML

will go up and the value of inventory will go up. So, this happens on leased gold, this

happens if you are hedging through GML, this happens if you are hedging through

futures.

Devanshu Bansal:

No, that

i

s fair.

Rumit Dugar

:

A

nd this is not specific to us

, y

ou can look at any balance sheet.

Devanshu Bansal:

No

, t

hat's fair

,

I understand

that

.

T

he intent of asking this was as in

,

can this loss sort of

come up in P&L for future quarters

?

So, I just wanted to get some sense around that.

Rumit Dugar:

W

hy will there be a loss on a hedged inventory? I think foundationally, you need to

look at how hedge accounting works. You will be realizing the value at spot. And if gold

prices go up, your liability goes up, your inventory goes up. If gold prices go down

, your

liability goes down, inventory goes down, and you sell at spot. So, really, I

do not

understand the question. I mean, that's not how hedging works. I mean, hedging is

protection to the P&L.

Devanshu Bansal:

No

, f

air enough. So, maybe I just wanted to repeat my question. So, suppose you sold

say 100 kgs of gold

.

But this quarter you may not have sort of closed those particular

contracts, and that might have added to the MTM of hedging loss. So, I just wanted to

check that whether in P&L we have realized

that?

Rumit Dugar:

So, Devanshu, I think we can maybe take it offline

.

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Devanshu Bansal:

Sure. No issues. Yes

, i

t might give a wrong reflection, so I understand that.

Rumit Dugar:

Yes. I think what you are saying is incorrect. You need to understand how the hedge accounting works and how hedging fundamentally works. I

am

happy to address this

offline

. B

ut to reiterate, hedging does

not

create a loss.

Devanshu Bansal:

Fair enough. I

will

take this offline.

Rumit Dugar:

You are covered on the price and you realize

at

spot always. So, yes.

Devanshu Bansal:

Sure, Rumit.

Moderator:

Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Rumit Dugar

:

Thank you, everyone, for joining us today, and look forward to being in touch with you for

next

quarter. Thank you, and have a good evening.

Moderator:

Thank you very much. On behalf of BlueStone

Jewellery & Lifestyle

Lim

ited, that

concludes this conference. Thank you for

joining

us today, and you may now

disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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Call: Jan 2026

BlueStone Jewellery and Lifestyle Limited

[Formerly Known as BlueStone Jewellery and Lifestyle Private Limited]

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Contact No : 080 4514 6904

January 29, 2026

To,

BSE Ltd.

Listing Department,

P. J. Towers, Dalal Street,

Mumbai – 400 001.

(Scrip Code: Equity - 544484), National Stock Exchange of India Ltd.

Exchange Plaza,

Bandra-Kurla Complex,

Bandra (E), Mumbai – 400 051.

(Symbol: BLUESTONE, Series EQ)

Dear Sirs/ Madam,

Sub.: – Q3 FY26 Earnings Call Transcript.

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call held on January 22, 2026 for Q3 FY 2025-26 has been available on the website of the Company's website at

www.bluestone.com under Investors Relations->

Investor updates -> 2025-2026-> Q3.

Link : <https://kincling1.bluestone.com/static/ir/msf/files/iu/BlueStone-Q3FY26-Earnings-call-transcript.pdf>

Kindly take the above on your record.

Thanking you,

Your Sincerely,

For Bluestone Jewellery and Lifestyle Limited

(Formerly known as Bluestone Jewellery and Lifestyle Private Limited)

Gaurav Singh Kushwaha

Managing Director DIN: 01674879

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BlueStone Jewellery and Lifestyle Limited

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FY26 Earnings Call

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Q3FY26 | Earnings Call Transcript

Moderator:

Ladies and gentlemen, good evening, and welcome to the BlueStone Jewellery & Lifestyle Limited Q3 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen

-

only mode

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nd there will be an

opportunity for you to ask questions after the presentation concludes.

Should you

need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch

-

tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Diwakar Pingle. Thank you, and over to you, sir.

Diwakar Pingle:

Thank you very much, Swapnali. Good evening to all participants on this call. Welcome to the Q3 and

9M

FY '26 earnings call of BlueStone Jewellery.

Before we proceed in this call, let me remind you that the discussion may contain forward

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looking statements that may involve known and unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could caus

e future result performance, or achievement to differ significantly from what is expressed or implied in such forward

-

looking statements. Please note

that we have mailed the results and the same is available on the exchange. In case you have not received

the same, you can write to us, and we

will

be happy to send the same

over to you.

To take us through the results and answer your questions today, we have the management of BlueStone

Jewellery & Lifestyle

Limited, represented by Mr. Gaurav

Singh Kushwaha

-

Founder and Managing Director, Chief Executive Officer; and Mr.

Rumit Dugar

-

Chief Financial Officer. We will start the call with a brief overview of the quarter gone past and then conduct the Q&A session.

With that said, I
will
hand over the call to Gaurav. Over to you, Gaurav.
Gaurav Singh Kushwaha:
Good evening, everyone
. A
nd thank you for joining us today for BlueStone's
third
q
uarter
Earnings Call
.

I am pleased to share that we have had yet another stellar quarter, marking an important milestone for the company.
We delivered our first quarter of reported net profit, a clear inflection point in the evolution of our business model. This was driven by good revenue momentum and a very solid operating EBITDA performance. This is not just about one quarter
, it reflects years of disciplined execution and structural investment we had made to build a scalable business, prioritizing long term value creation. What gives us confidence is that this profitability has come alongside strong underlying growth trends. And as we look ahead, we see revenue momentum accelerating into Q4.

3

Q3FY26 | Earnings Call Transcript

Further details on the financial performance will be covered by Runit in his remarks. Let me spend a few minutes on the broader demand environment.

The sharp rise in gold prices significantly altered the industry's demand mix last quarter. We saw the market shift towards commodity and investment

-
led categories
such as coins and
chains, which are typically price

-
led lower margin segments. Now,
these are the categories where we have historically chosen not to participate aggressively, given our
"Technology

-
Led Product

-
First"
approach that focuses on
design differentiation and stronger gross margins.

Our performance is better understood by looking at consumer product demand. Here, trends remain encouraging despite sharp gold prices.

Festive demand in October was
strong, moderated in November, and then rebounded sharply in December. From our perspective, one of the impacts of ris
e

in gold prices was that the certain entry

-
level
price points got vacated. In response, we repopulated these price points and we saw the result of some of that in December, with December exit revenues growing

approximately 35%

year

-

on

-

year.

A key enabler for this performance continues to be our omni

-

channel strategy, which

seamlessly connects our online presence with a steadily expanding physical retail footprint. This integration allows us to engage customers across discovery, purchase, and repeat cycles, while leveraging data and inventory more efficiently across

channels. As of December

-

end, we had 323 stores across 130 cities, having added 12

new stores during the quarter, further strengthening our reach and brand presence.

Our customer b

ase grew 25% year

-

on

-

year to 903,000 customers and same store sale

growth of 12% year

-

on

-

year. Again, I would like to reemphasize that December same

-

store

-

sale

s

-

growth exit rates were in mid

-

teens, with January trending better than

December.

Let me now turn to one of the critical drivers of our long

-

term growth and margins,

which is the strong cohort performance. We have been confident that all our cohorts will demonstrate productivity that was seen by FY '19 and FY '20 cohorts. To give you

mo

re color, we are happy to share some more details on the cohorts from various stages.

So, for nine months, or YTD, stores opened in FY '19

-

'20 delivered revenue per store per

month of approximately

Rs.

1.2 crores. Stores opened in FY '21

-

'22 delivered a per store

per month revenue of approximately

Rs.

80 lakhs, and stores opened in FY '23

delivered per store per month revenues of approximately

Rs.

70 lakhs for first nine

months of the year. This translates into annualized revenues of

Rs.

14 crores,
Rs.
10
crores and
Rs.
8.3 crores, respectively. These cohorts comprise of more than 150 stores.

4

Q3FY26 | Earnings Call Transcript

And as mentioned, all these cohorts are growing at a pretty healthy clip, and we expect all the remaining cohorts to also eventually catch up with FY '19

-
'20 cohorts.

With that, I
will
ask Runit to share his opening remarks, and then we can open the
floor to the Q&A.

Runit Dugar:

Thank you, Gaurav. Good evening, everyone, and thank you for joining us today. I
will

briefly walk you through the financial performance for this quarter. I

will

keep my

remarks brief as we have detailed disclosures and materials available on the stock
exchanges. I would encourage you to go through our management commentary and
the investor presentation, which have lot of detailed disclosures.

Turning to the quarter

:

D

uring the quarter, standalone revenues grew by 27.4% year

-

on

-

year to

Rs.

748 crores.

As mentioned earlier in our call, our revenues are accounted for on retail sales basis,
including franchisee stores. This means our reported growth reflects pure secondary
sales to consumers, even for franchisee stores, offering a clean and tra
nsparent view
of demand at the retail consumer level.

Excluding inventory gains, pre

-

IndAS EBITDA margins for the quarter stood at a solid

12.1% at

Rs.

90.3 crores, driven by robust contribution margin performance, greater
number of store cohorts moving in better productivity buckets

,

and scale benefits on

corporate costs, including A&P. More importantly, on a YTD basis, we are at

Rs.

129.6

crores of pre

-

IndAS EBITDA versus

Rs.

7.4 crores last year YTD. This reflects a margin

of 7.4% YTD as compared to less than 1% in same period last year. This clearly demonstrates that the operating leverage is starting to reflect in EBITDA margins and growth. There is still a fair runway to expand this further, driven by cohort maturities and business scale.

As Gaurav highlighted earlier, this was our first quarter of reported PAT of Rs.

71.5

crores as compared to a loss of

Rs.

26.9 crores in the same quarter last year.

Importantly, the business generated a solid cash profit of about

Rs.

122 crores for the

quarter. Contribution margin, which is a key product margin metric that

at we look at,

excluding inventory gain, stood at 33.3%, an improvement of 333 basis points year

-

on

-

year. This is despite lower studded mix on a Y

-

o

-

Y basis of 61%. This

was offset by scale

benefits, improved product mix within studded products, and manufacturing efficiencies.

A&P spends continued

d

to show operating leverage, supported by business scale and

high repeat mix, with repeats contributing 57.8% of revenues this quarter. Our old gold

exchange program continued to remain most competitive in the market. Overall, A&P

5

Q3FY26 | Earnings Call Transcript

as a percentage of sales stood at 5.7% for the quarter, down about 129 basis points year

-

on

-

year.

To conclude, this quarter clearly demonstrates the operating leverage embedded in our model. There is potential room to expand EBITDA significantly ahead of revenues, and with the cost discipline with which we are scaling the business.

With that, we can open the floor for questions.

Moderator:

Thank you very much. We will now begin the question

-

and

-

answer session. The first

question is from the line of Percy

Panthaki

from IIFL. Please go ahead.

Percy Panthaki:

Hi, team. Just wanted to understand the margin here. So, on a sequential basis, the margins excluding inventory gain pre

-

IndAS have gone up from about 3% to 12%

, S
O

that's a 900 basis points kind of expansion sequentially. I understand that the contribution margin, ex

-

inventory gain, has gone up about 150 basis points, and there is some saving in ad spend maybe approximately about 300 basis points. So, that explains about half of that 900 basis points. What is the remaining half? Where has the margin expansion come from?

Rumit Dugar

:

So, Percy, I think in the last quarter also we explained

,

what truly happens is you have to look at how the aggregate cost base kind of moves. So, if you look at between Q3 and Q2, Q2 revenue was

Rs.

513 crores and Q3 revenue was

Rs.

748 crores. So, for that incremental revenue that we added sequentially, our aggregate cost base, including everything

-

e

employee cost, store rents, store facility maintenance costs do not shift significantly on a quarter

-

on

-

quarter basis. So, this is the foundational operating leverage that is inbuilt in our business.

And as more store cohort productivity expands, the fixed cost base remains reasonably stagnant or grows at a modest pace while your incremental revenue will flow through to EBITDA at the rate of contribution margin.

So that

i

s really the flow through. And if you do the delta between incremental revenue that we added at the contribution level, you will

pretty much get to the operating leverage and the outcomes that we have delivered.

Percy Panthaki:

Understood. So, just for me to get a sense of the operating leverage in Q3 and therefore actually try and project annualized numbers

,

because this is clearly a big quarter and there is a huge operating leverage.

The question I wanted to ask you is that

,

on account of normal seasonality, the monthly sale in Q3 is approximately what percentage higher compared to average for the year? I

am

not talking about this year or anything

,

I

am

just talking as a concept or in principle. Q3 typically the monthly sale is how much percentage higher than annual average

?

If you can tell me that, it will help in calculating the operating leverage impact for full year. Or rather what I want to say is

6

Q3FY26 | Earnings Call Transcript

that at just this 12% margin on a Q3 basis, how much would it normalize work out to a annualized basis given the different sales throughput for the quarter versus the year?

Gaurav Singh Kushwaha:

Percy

,
Gaurav this side. S

ee

, depending on how the operating revenue moves between quarters, I think that percentage changes drastically, as we saw between Q1, Q2 and Q3 also, where Q

3 is at around 12%. Now, last year, Q4 was around

Rs.

460 crores and what

we are seeing right now

,
we are trending at almost 35% growth over the last Q4. And

let's say

if

that continues, this Q4 will land somewhere between

Rs.

620 crores to

Rs.

630 crores. I

am

just telling you how to look at it.

Now, if you do the same calculation

here also

;

on

Rs.

748 c

rores we had

Rs.

90 crores of pre

-

IndAS EBITDA,

then

with those

numbers Q4 would be approximately, let's say,

Rs.

120 crores lesser than Q3

, t

he

revenues

.

So, revenue for Q4 would be approximately

Rs.

120 crores lesser than Q3.

And 33% of that, of

Rs.

120 crores would be approximately

Rs.

40

-

42

crores

.
So, Q4
EBITDA hence should be, let's say, lesser by that much. And then that should serve the base for the subsequent Q1

.
And that's
how
we calculate
it, as
in
the
back of the
envelope calculation, that
i

s how we do.
Percy Panthaki:
Okay

, u
nderstood. I
will
probably take this offline because I think it
i
s a little more
complex than that, because we
will
have to look at it on a per
-
store basis also, because
as the number of stores are getting added, the cost base would also increase to that
extent. But anyways, I
will
take that offline.

A
Iso I wanted to understand one more thing that
,
you said that there were some entry
price points which were unaffordable and therefore, I mean, the product merchandise
this quarter was very less at the entry price points. Is that also a factor? Because those
entry price points may be at sort of lower m
argin

, s
o is that like a factor which is
driving the margins to an extent
? A

nd because you are repopulating those price
points, will that versus this quarter again see a margin drag?

Gaurav Singh Kushwaha:

Yes. Percy, so in our data we
do not
see that. It's not that, let's say, sub

Rs.

20,000 or sub

Rs.

30,000 product have lower gross margins or lower contribution margins, that kind
of a trend is not there in the data. So, there

i
s no implication of that. The only
implication of those price points being
vacated

was that, see

generally

traditionally or

historically we have been very strong on entry level price points, which is where we
acquire a lot of customers and then kind of grow with them over time.

With those price points being vacated, we believe that our growth suffered in November and, let's say, first one week of December.

W

e started work on that, let's say, early in the November, and then it took some time for us. So, I think our growth got impacted because of that. But in terms of percentage shift in the gross margins or contribution margin, that is not a trend that we have in our data.

7

Q3FY26 | Earnings Call Transcript

Percy Panthaki:

Understood. And lastly, if you can give some idea on how do you look at store additions on an annual basis this year as well as next year.

Rumit Dugar:

So, this year, I think we will be in that 65, 70 kind of range, right? We closed at 323 stores, so Y

-

o

-

Y in that 70

kind of handle versus March '25. I think next year we will

come back

to you once we finish this year. So, when we discuss Q4 is when we can give you better color in terms of how we are looking at next year.

Percy Panthaki:

Okay. Yes, that's it from me. Thank you.

Moderator:

Thank you. The next question is from the line of Devanshu Bansal from Emkay Global.

Please go ahead.

Devanshu Bansal:

Hi Gaurav, thanks for taking my question. So, I just wanted to delve deeper on the growth front. So, it is a tad lower versus that reported by peers in both the traditional jewelry space as well as the space that you operate in. Even when you say that this is

the kind of number

,

that also is materially below what the others have reported, right?

So, can you sort of give us more granular explanation as in what exactl

y led to a slower

growth for us

?

Gaurav Singh Kushwaha:

Sure.

O

kay, so first of all, very different operating environment this last quarter was compared to how things generally are

,

with gold being that volatile and it's the most volatile territory that I have seen the gold in.

S

o basically two things. So what that

results in, that actually increases the demand for commodity products like gold coins, gold chains with very little margin and gold bangles with very low margin etc

.

And that

is where a sharp increase in that demand comes from, and almost all the traditional jewelers are heavily indexed on those

, and

whereas we are extremely under

-

indexed

on all those products.

Secondly, almost all the jewelers report primary sales, whereas we only report retail sales.

W

hether that is traditional jewelers, whether that is CaratLane, whosoever is, it's a mix of primary and secondary sales. So, there is generally delta between that and the retail sales also. So, these are the two major differences, and then that merchandising

issue that we noticed in our inventory somewhere in end of October and early November. And I think these are the three reasons why the growth numbers are lower,

r,

but we see that as a one

-

off. I think in stable environment things will revert back to normalcy. And also, in our December exit rate and our January rate, so basically on our continuing run rate we see almost 35% of growth

,

that keeps us happy

, t

hat

i

s good

enough for us

.

Devanshu Bansal:

Fair enough.

B

ut however, still CaratLane reported almost 40% growth, so there may not be such a material difference between primary and secondary. But I take your

8

Q3FY26 | Earnings Call Transcript

point that at least the growth has sort of improved for you in December and subsequently in Q4 as well.

Rumit Dugar:

So, Devanshu, just on the first bit that it is not materially different. I think if you look at last quarter, their reported revenue growth was 32% and retail sales was 25%. So, it is really

different, at least historically. So, maybe I think you should just see what the retail sales numbers are.

Devanshu Bansal:

Fair enough, Rumit. So, thanks for the clarification. The other part was on the LGD space, so we

see

incremental investments across players and we have also sort of increased our investment in materials. So, any incremental views on this space in terms of how we are sort of planning to ramp up our presence would be helpful.

Gaurav Singh Kushwaha

:

Yes. So, very early days for

lab grown

. We are seeing some good traction in lab

-

grown

brand Ethereal. They have very few stores

,

and it

i

s kind of a discovery phase and it seems to be doing well. And hence we have decided to put in some more money.

A
nd
like I said, it
i

s a very early stage for that product segment per se. So, I think we will have to see, we will have to observe how it evolves and then take a firm opinion on that.

Devanshu Bansal:

Gaurav, any assortment or difference that you can help us better understand in terms of how Ethereal is sort of playing this space versus how BlueStone is playing ? A
nd also

,
any customer segmentation that you can help us better understand
, i
s it the same
customer being targeted by both BlueStone and Ethereal, or they are
entirely separate
consumer segments that are being targeted by both the brands?

Gaurav Singh Kushwaha:

Yes.

O
kay, so the way it is being run is

,
so Ethereal, which is our subsidiary, we have
74% holding in that, but rest of the equity
y
is with the founders

,
Nitesh and Sharad. So,
we generally have a very low

-
touch approach, in the sense we encourage them to
discover their own products, we encourage them to discover their own customers and
so on. So, there

i
s not too much of an operational overlap between BlueStone and
Ethereal.

I mean,
they
have

been in the business for around five, six months

, a
nd I think
they are also discovering what kind of products work for them, what kind of products
do not work for them.

W
e have not started with a very strong point of view that, okay, these are the products
that are exactly going to work in lab

-
grown

,
it
i
s very, very early days for that So, they
are also doing their own discovery. So, it

i
s kind of a founder
-
led company where we
have 74% holding and Nitesh and Sharad run it. So, I honestly do not have a very strong
point of view on what kind of products should work for them. It
i
s their job to figure it
out.
Devanshu Bansal:
Thanks, Gaurav. Thanks for taking my question.

9

Q3FY26 | Earnings Call Transcript

Moderator:

Thank you. The next question is from the line of Saurabh Jain from HDFC Life Insurance. Please go ahead.

Saurabh Jain:

Hi Gaurav and Runit. Just wanted to understand
if I look at the Y

-

o

-

Y expense line item,
so other expenses, ex of A&P, that have gone down by
Rs.

11 crores. So, what explains
that?

Runit Dugar

:

That is primarily driven by our improvement in contribution margins. So, on the
manufacturing scale and efficiencies, we had

a

couple of new factories which had
come up. So, as they build process efficienc
ies

through time, and as our scale is
growing the capacity utilizations or manned capacity utilizations keep expanding,
there is that operating leverage that flows through on the direct cost.

Saurabh Jain:

No, I am talking about the absolute number

, s

o absolute number has actually gone
down

.

Runit Dugar

:

Yes, Saurabh

,

I

am
talking about absolute numbers itself. So, if the productivity at a
factory level is X, which is a new factory

; o

ver time, as people build more process
efficiency, the amount of people, time, material
etc.

that you need to spend on, that
goes down. So, there is that absolute operating leverage that comes because you
are
pushing up manned capacity utilization.
So, there is that factory

-
related cost that sits
in
O
ther
E
xpenses, which is contract laborers, job workers,
etc
. So, there is a fair
amount of operating leverage that comes from there, even on an absolute cost basis.

Saurabh Jain:

Sorry to push this further. So, I
am
just saying that if the units have gone up in the
manufacturing facility, I understand the per

-
unit cost might come down because of
the utilization increasing. But how can the absolute cost come down

,
I
am
not able to
understand that part
?

Rumit Dugar

:
Because,
your manned productivity, if you needed 20 people to create a piece

,
because
the process efficiency, scale,
etc.
are not there, now you need lower number of people
to do the same task. So, the absolute cost, Saurabh, actually comes down.

Second is,
we
have
also done some consolidation in terms of building scale, right? We operate
three factories

, S
o there is some redistribution of the products,
etc.
, that can get
manufactured, so we can build more competence in single factories where the
productivity that
we get for the same throughput continues to expand. So, there is
some part of that on the manufacturing side that happens.

Saurabh Jain:

Okay, fine. Second thing is on the A&P expenses side, so what is the range we should
expect for like full year going forward? This year we have closed nine months at about
7% which is
materially lower,
about 300 basis points lower than the last nine months
of FY '25. So, what is the number that we should build in here? Like the absolute

10

Q3FY26 | Earnings Call Transcript

number at about

Rs.

40 crores,

Rs.

45 crores, is that the run rate we should build i

n
on
a quarterly basis going forward?
Gaurav Singh Kushwaha
:
So, as we were expanding stores rapidly, we firmly believe that there's significant operating leverage sitting on the A&
amp;P also
,
because the same advertising, same promotion spent
d
. Now we have more stores to actually tap into the demand being generated by that
.
So, I think historically it was 12%, 9% and so on
, a
nd we expected it to
come down to around 6%. At 6%, we
will
be scaling it very proportionally with the revenues. So, I think YTD is 6.8%, but since these are early stages for the brand also
,
we
would
like to keep it, kind of pegged at around 6% going forward.
Saurabh Jain:
Okay, thank you.
Moderator:
Thank you. The next question is from the line of
Tejash Shah
from Avendus Spark
Institutional Equities. Please go ahead.
Tejash Shah:
Hi, thanks for the opportunity. Just wanted to know what was the revenue per square feet that we clocked this quarter, and what was that number last year same quarter
?
Rumit Dugar:
I think the metric that we look at and which we
have
also detailed out in the
management commentary, and Gaurav spoke about in
the
opening remarks, is
revenue productivity per store per month by cohort. So, those are the metrics that we should look at. Given where our gross margins are and the kind of store productivity and absolute contributions that we generate, for a
Rs.
10 crores or a
Rs.
14 crores store,
the rent or the OpEx would be like about
Rs.
1 crores
. So, really from a per square feet
basis,
etc.
, it
i
s something that we
do not
track and look at.
Tejash Shah:
So, the reason I ask this is because it
is
partly pertaining to the previous participant's

question that

,
if we do that math, and then you
are
saying that as a company we
do not
follow that

, b
ut if we do that math this quarter looks like more of an excellence coming
from cost discipline than the operating leverage, because that number has
not
moved
much apparently.

And a lot of cost discipline is visible in our production cost and cost
line items below that, which the previous participant also
highlighted. So, just wanted
to know that how to think about this quarter
?

Were you surprised on the productivity
of the store? Or where was this quarter in excellence on cost discipline that we were
kind of promising for a while now?

Rumit Dugar:

I think the way to see this is, what we
have
been always saying is that ours is a fixed
cost model

, w
he
re
there is tremendous amount of operating leverage, which will be
driven by store productivity

. S
o it
i
s not about cost excellence, it is about absolute
operating leverage.

So, I think the way to think about this is

,
quarter

-
on
-

quarter our
cost base has not shifted, right? So, if I was running 300 stores in Q2, I
am
still running
300

-
plus stores in Q3, with the same cost base. But as my revenue
base is expanding,

11

Q3FY26 | Earnings Call Transcript

and if you see our trend for the last four, five, six quarters, that
i

s pure operating
leverage

, Tejash,
that
is
playing out.

It
is
not only just we
have
cut cost or anything like that

.
It's just pure operating leverage,
where there is incremental revenue which has a high flow

-
through rate, given our
gross margin profile and contribution margin profile, which is significantly different
from any other player that you may see in this category.
So, the flow

-
through rates are
way, way higher than you would see in any other player. So, which is why I understand
where you
are
coming from, it surprises because the flow

-
through rates are so high

.
But then you have to compare the difference on the
contribution margin of ours
versus generally the category that people operate with.

Tejash Shah:

Perfect. Thanks a lot, and all the best.

Moderator:

Thank you. The next question is from the line of Sanidhya from Unicorn Assets. Please
go ahead.

Sanidhya:

S
ir
, my question is kind of follow up from the previous questions. I think everyone is
confused

d
if
is the operating leverage or cost cut, whatever. So, let me ask you this way.
Suppose, say, gold prices today

Rs.

1.5 lakhs goes to say

Rs.

2 lakhs, so like 33% rise

,
and
like there
our
mix

i
s like 50%, 60% for the gold. So, assuming both the numbers, let's say,
on
an

average our revenue goes up

,
not by the volume, just plain prices like 15%, 20% up.
Do you think that out of that extra 15%, 20%

,
like 33% contr
ibution margin, most of it
would flow down? That's what you
are
saying.

Rumit Dugar:

See, I think the simple point that we are making is that there are 323 stores and the cost base of operating those stores and operating business is sort of already embedded. So, incremental revenue that we are generating has a very high operating leverage and that is predominantly driven by aging

And this quarter, please, I encourage all of you to look at our cohort performances. I think historically we have got feedback that tell us how your other cohorts are kind of doing. And this quarter we have kind of given some color on how our cohorts are doing. And there are unit economics that you can model to those revenue productivity numbers, and that will kind of explain that why there is so much operating leverage in our business.

So, it

i

s

not about just gold price moving from

Rs.

1 lakh to

Rs.

1.50 lakhs or

Rs.

2 lakhs. It is about

how fundamentally our business operating model is structured and where we are in that journey of operating leverage. So, we are still in that early days. And as I mentioned in my

opening remarks, there is still significant room for margins to expand as we continue to build scale in the business.

Sanidhya:

So, secondly, on the contribution margin only, so we have depicted, so since that like old stores you can say, or the mature stores have given like 40% gross margins and 35% kind of contribution margins and 25% kind of adjusted EBITDA. Do you think this

12

Q3FY26 | Earnings Call Transcript

number is the core or do you think there is further room for even this number to expand looking the way things are going in this quarter or you are saying looking forward?

Rumit Dugar:

So I think

,

one

,

contribution margins are not impacted by just aging

.

Because

contribution margins are more fundamental to the product mix that we carry, the merchandise we carry and the way we price our products. I think the delta of aging actually shows up more in the operating EBITDA.

So, operating EBITDA for this quarter was 12% on a pre

-

IndAS basis, 7.4% for YTD. And

as I mentioned, there is still runway for the operating margins that we have

seen YTD

to expand further because there is still lot of vintage

-

driven growth. If you look at

,

our

FY '19

-

'20 cohorts are at

Rs.

14 crores revenue productivity

,

and the other cohorts are

at 10, 8, 8.5 or 8.3. So, obviously, there is room for them to scale further, right, at least to

14

,

and that is what we see at the minimum. So, as these continue to ramp up, there will be more operating leverage that will flow through because the cost base of these are not going to expand.

Sanidhya:

And I would request you to please guide like thoroughly on the store expansion

going

forward, because right now the growth looks tremendously coming

,

even the cohort

level looks good

for

like next two years. But beyond that

,

for growth visibility, I would

request you to please share from going forward the expansion model. Thank you.

Moderator:

Thank you. The next question is from the line of Karan Gupta from ACMIL. Please go ahead.

Karan Gupta:

My question is again related to the previous participant on the margin side, operating EBITDA margin side

.

So, on the margin side, how much margins can

we

do when our

most of the stores are aging towards

Rs.

14 crores band annually?

Rumit Dugar:

So, I think the way to thi

nk about it is that at

Rs.

10 crores to

Rs.

12 crores kind of

productivity, the store level pre

-

IndAS margins are at about 22% to 24%. And as Gaurav

mentioned, you load about 6% A&P and then some leverage on the corporate cost.

A

S

broader cohort productivity gets to that

Rs.

10 crores,

Rs.

11 crores kind of numbers, the

baseline margin for the business is going to be in, like, low teens at the minimum

,

with

significant investment continuing on the A&P. So, I think that

i

s sort of where the

trajectory should go to. So, we are at 7.4% YTD, which is why

I mentioned in my

commentary there is significant room and significant runway for expansion.

Karan Gupta:

So, 20% to 24% on pre

-

IndAS basis

?

Rumit Dugar:

That I mentioned at the store level EBITDA, and then we load A&P and corporate cost.

13

Q3FY26 | Earnings Call Transcript

Karan Gupta:

Okay. And how many stores out of 323 are running at

Rs.

10 crores to

Rs.

12 crores or

Rs.

14 crores of run rate

?

Rumit Dugar:

See, I think, we have given a lot of disclosure already on cohort. I

do not

think you see

many companies giving these kind of disclosures. I

do not

think we can go beyond this

because there is a lot of competitive data here. So, I think overall the cohorts are large enough.

Karan Gupta:

Yes, it's 50%

, t

he data

I think you

shared already.

Rumit Dugar:

Yes. So, that's a good enough base for you to draw conclusions on where these cohorts can trend to.

Karan Gupta:

Yes. Thank you very much.

Moderator:

Thank you. The next question is from the line of Subhanu from 3 Head Capital. Please go ahead.

Subhanu:

Yes, thank you. Good evening and congratulation

s

for this kind of modest

performance. Sir, as you mentioned, our store opening guidance for this year around

65 to 70. But if I remember right, last quarter Rumit said hit a target around 75 to 80.

Are you reducing your guidance?

Rumit Dugar

:

No, we were in the 70 kind of handle, and I think we should be broadly in that territory.

I

do not

think there

is

a significant deviation

.

So, maybe the upper end

,

I think, we

will

be in the 70 kind of handle

.

So, plus minus 5, obviously, we have to look at the operating environment and be a little tactical about it.

Subhanu:

Okay. My next question

is,

this quarter is sole PAT

-

positive quarter. This PAT

-

positive

quarter will be sustained for next couple of quarter

s

or this will be sustained?

Rumit Dugar:

See, I think it

i

s hard to give an absolute forward

-

looking statement, but let me try and address that question in a way that

,

I think fundamentally there is enough operating leverage in the business, which has got demonstrated in the past three quarters, particularly you have

seen it in Q3 as well. So, we see still runway for margin improvement versus where we are on YTD

,

and that

i

s where we would like to leave this at.

Subhanu:

Okay. Sir, what kind of SSSG we are targeting?

Rumit Dugar:

So, I think in his commentary, Gaurav had mentioned that December SSSGs were in mid

-

teens and January is trending better than December. So, I would just reiterate that statement that Gaurav had made in answer to that question.

14

Q3FY26 | Earnings Call Transcript

Subhanu:

Okay. Thank you and best of luck.

Moderator:

Thank you. The next question is from the line of Abhay Sakariya from

V C

AN

and

Company. Please go ahead.

Abhay Sakariya:

So, comparing quarter

-

on

-

quarter performance, if you talk about Q3 of '24, there was a loss of around

Rs.
27 crores

and Q3 of '25 there is a PAT of around

Rs.

69 crores. So, the huge difference, it is because of the valuation gain or actual operational or quantity performance

? A

and what will be the valuation gain part

? I

if you can just highlight on both.

Rumit Dugar:

Yes. So, we

have

disclosed the inventory gain for the quarter, it

is

Rs.

58.9 crores. So,

even if you adjust for that, we have a positive PAT.

Abhay Sakariya:

Okay. And any particular reason, what has been changed in this particular quarter?

Because I have been observing that we have been making losses for quarter

-

on

-

quarter also, even in the Q2, Q1

,

and even in the last year. So, any particular or major

changes which you have made so that we have been positive in this particular quarter?

Rumit Dugar

:

See, it's just the way our business is structured, just the way we have

scaled the

business is very, very different from what you see typically with traditional big box retail, given we are more omni

-

channel driven. So, there is a front

-

loaded cost base

that is sitting in our P&L. And as our stores build vintage, as the broader absolute revenue scales, there is operating leverage that is flowing in both at store level and at corporate costs A&P level.

So, I think that is what is kind of playing out. And as I said, there is still runway to continue to expand.

Abhay Sakariya:

Okay. Thank you, and best wishes to the company.

Moderator:

Thank you. The next question is from the line of Gopal Nawandhar from SBI Life Insurance. Please go ahead.

Gopal Nawandhar:

T

Thank you. Congratulations to the team for good performance on profitability. Two, three things here. One is what is our gross debt and net debt?

Rumit Dugar:

So, gross debt is about

Rs.

650 crores

, n

et debt is about

Rs.

222 crores.

Gopal Nawandhar:

Rs.
222 crores net debt or net cash?
Rumit Dugar:
Yes.
Rs.
222 crores is net debt and
Rs.
650 crores is gross debt.
Gopal Nawandhar:
Okay. And inventory?

15

Q3FY26 | Earnings Call Transcript
Rumit Dugar:
Inventory at the end of the quarter?
Gopal Nawandhar:
Yes.
Rumit Dugar:
Rs.
2,280 crores.
Gopal Nawandhar:
Okay. So, I think if I recollect it right, last quarter we had net cash and lower inventory. This quarter we only added 12 stores, and this matrix is where I think we are kind of not able to optimize. So, can you just throw some more color on inventory, when we can see inventories coming down?
Rumit Dugar:
So, Gopal, bulk of the change in inventory is actually driven by movement in gold price on the hedge positions
.
So, bulk of the change between Q2 and Q3 is coming from mark
-
to
-
market on hedge positions
, s
o it
i
s largely driven by that.
Gopal Nawandhar:
And in terms of network addition, how should one look at next year and the year after?
Rumit Dugar:
So, I think next year, on an absolute basis, maybe after Q4 we will be able to give you a more concrete number. But fundamentally if you see at least our last, two, three year trend, I think we have been in that 70
-
80 kind of handle broadly. So, that's been the historical trend. And at our end, see, there is a large enough distribution that we already have
.
Obviously, there is significant room to continue to expand network. If you compare us to a lot of the peers, and you just map our city presence to, let's say,

the large peer city presence, there is significant growth runway both on city and density. So, from a medium

-

term perspective, there is significant runway to keep expanding the network.

But absolute number, G

opal, I think maybe after Q4 we can

come back to you on what we are looking to do in FY '27.

Gopal Nawandhar:

Sure. And one more thing, considering that this increase in the gold prices, earlier our plan was to reduce FOCO stores and convert them into

C

O

C

O. Considering the kind of

investments it needs for new store, will that plan be delayed or will still consolidate from FOCO to COCO?

Rumit Dugar

:

So, the consolidation is happening from FOCO to COCO, and that I think will continue because that is a very expensive capital structure that we are

running related to what

our cost of capital is. So, that consolidation obviously makes economic sense and is PAT accretive. So, that piece will continue. Gopal, there is no change in that thought process or strategy.

Gopal Nawandhar:

Okay. Sure. Thank you very much.

Rumit Dugar

:

Thank you.

16

Q3FY26 | Earnings Call Transcript

Moderator:

Thank you. The next question is from the line of Devanshu Bansal from Emkay Global.

Please go ahead.

Devanshu Bansal:

Thanks for the follow

-

up opportunity. I wanted to build on Gopal's question. So, you indicated that the mark

-

to

-

market has been built upon the inventory this quarter, can you call out the quantum of that

,

as in what is the MTM loss that has been built into the inventory?

Rumit Dugar:

MTM loss? There

is

no MTM loss. If you are hedged, your inventory gets marked up, right, so that's about it. I mean, I

do not

want to call out how much of it is, but you can

actually see how much the gold has moved between September 30th and December

31

st

.

So, it's an easy calculation.

Devanshu Bansal:

Yes. So, basically that means, so when gold price is in an increasing environment, and on your hedge contracts you will be having some losses

, S

o that has built upon the

inventory, the amount which has led to this increase in inventory. Is my understanding correct?

Rumit Dugar:

I mean, it's a mark

-

to

-

market

.

So, if you are borrowing through GML, the value of GML

will go up and the value of inventory will go up. So, this happens on leased gold, this

happens if you are hedging through GML, this happens if you are hedging through

futures.

Devanshu Bansal:

No, that

i

s fair.

Rumit Dugar

:

A

nd this is not specific to us

, Y

ou can look at any balance sheet.

Devanshu Bansal:

No

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hat's fair

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I understand

that

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T

he intent of asking this was as in

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can this loss sort of

come up in P&L for future quarters

?

So, I just wanted to get some sense around that.

Rumit Dugar:

W

hy will there be a loss on a hedged inventory? I think foundationally, you need to

look at how hedge accounting works. You will be realizing the value at spot. And if gold

prices go up, your liability goes up, your inventory goes up. If gold prices go down

, your

liability goes down, inventory goes down, and you sell at spot. So, really, I

do not

understand the question. I mean, that's not how hedging works. I mean, hedging is

protection to the P&L.

Devanshu Bansal:

No

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air enough. So, maybe I just wanted to repeat my question. So, suppose you sold

say 100 kgs of gold

.

But this quarter you may not have sort of closed those particular

contracts, and that might have added to the MTM of hedging loss. So, I just wanted to

check that whether in P&L we have realized

that?

Rumit Dugar:

So, Devanshu, I think we can maybe take it offline

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Q3FY26 | Earnings Call Transcript

Devanshu Bansal:

Sure. No issues. Yes

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t might give a wrong reflection, so I understand that.

Rumit Dugar:

Yes. I think what you are saying is incorrect. You need to understand how the hedge accounting works and how hedging fundamentally works. I

am

happy to address this

offline

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ut to reiterate, hedging does

not

create a loss.

Devanshu Bansal:

Fair enough. I

will

take this offline.

Rumit Dugar:

You are covered on the price and you realize

at

spot always. So, yes.

Devanshu Bansal:

Sure, Rumit.

Moderator:

Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Rumit Dugar

:

Thank you, everyone, for joining us today, and look forward to being in touch with you for

next

quarter. Thank you, and have a good evening.

Moderator:

Thank you very much. On behalf of BlueStone

Jewellery & Lifestyle

Lim

ited, that

concludes this conference. Thank you for

joining

us today, and you may now

disconnect your lines.

(This transcript has been edited, without altering the content, to ensure clarity and improve readability.)

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Call: Apr 2026

(no extractable text — likely a scanned image PDF)